

Registered Bank Disclosure Statement

For the six months ended 31 December 2021

Contents

General matters	1
Guarantees	3
Directors’ statement	4
Interim financial statements	5
Capital adequacy and regulatory liquidity ratios	44
Independent review report	51

General matters

Details of incorporation

Kiwibank Limited (“**Kiwibank**” or the “**Bank**”) is a company domiciled in New Zealand and was incorporated in New Zealand under the Companies Act 1993 on 4 May 2001. On 29 November 2001, Kiwibank was registered as a bank under the Reserve Bank of New Zealand Act 1989 (the “**RBNZ Act**”) and was required to comply with the conditions of registration as laid down by the Reserve Bank of New Zealand (“**RBNZ**”) from that date onwards.

This Disclosure Statement has been issued by Kiwibank for the six months ended 31 December 2021, in accordance with the Registered Bank Disclosure Statements (New Zealand Incorporated Registered Banks) Order 2014 (as amended) (the “**Order**”). Words and phrases defined by the Order have the same meanings when used in this Disclosure Statement.

In this Disclosure Statement, “**Banking Group**” means Kiwibank’s financial reporting group, which consists of Kiwibank, all of its wholly owned entities and all other entities consolidated for financial reporting purposes.

Registered office

The registered office is: Kiwibank Limited, Level 9, 20 Customhouse Quay, Wellington 6011, New Zealand.

Address for service

The address for service is: Kiwibank Limited, Level 9, 20 Customhouse Quay, Wellington 6011, New Zealand.

Other material matters

The Board of Directors of Kiwibank (the “**Board**”) are of the opinion that there are no other matters relating to the business or affairs of Kiwibank or the Banking Group, which would, if disclosed in this Disclosure Statement, materially affect the decision of a person to subscribe for debt securities of which Kiwibank or any member of the Banking Group is the issuer.

Pending proceedings or arbitration

The Board is not aware of any pending legal proceedings or arbitration concerning Kiwibank or any member of the Banking Group, whether in New Zealand or elsewhere, that may have a material adverse effect on Kiwibank or the Banking Group. For completeness, Kiwibank notes that the Financial Markets Authority issued proceedings against it on 9 December 2021. The proceedings seek a declaration that Kiwibank offended the fair dealing provisions of the FMC Act, and orders that Kiwibank pay a pecuniary penalty to the Crown and costs.

Credit ratings

Kiwibank has the following credit ratings applicable to its long-term unsecured obligations payable in New Zealand, in New Zealand dollars:

Rating agency	Current credit rating	Rating outlook
Moody’s Investors Service (“ Moody’s ”)	A1	Outlook Stable
Fitch Ratings (“ Fitch ”)	AA	Outlook Stable

General matters continued

Conditions of registration

Changes to conditions of registration

The RBNZ issued revisions to the conditions of registration for Kiwibank effective on and after 1 July 2021 and effective on and after 1 October 2021.

The new conditions effective on and after 1 July 2021 contained amended definitions of “total capital ratio”, “tier 2 capital instrument” and “total capital”.

The new conditions effective on and after 1 October 2021:

- incorporate adjustments to bring into effect the new Banking Prudential Requirements;
- contain amended limits on distributions payable to holders of CET1 capital based on the prudential capital buffer ratio;
- restrict Kiwibank from making distributions on a transitional AT1 capital instrument at certain times;
- require Kiwibank to complete certain capital adequacy process requirements before including Additional Tier 1 or Tier 2 capital instruments in the calculation of capital ratios; and
- for a loan-to-valuation measurement period ending on or after 31 January 2022, restrict Kiwibank’s new mortgage lending on non-property investment residential mortgage loans with a loan-to-value ratio of more than 80% to 10% of the total qualifying new lending.

There have been no other changes to Kiwibank’s conditions of registration from those which were in force at 30 June 2021.

Non-compliance with conditions of registration

For completeness, it is noted that the Bank continues to discuss with the Reserve Bank issues arising from:

- the independent review of compliance with its liquidity conditions of registration (Conditions of Registration 13 and 14); and
- the Reserve Bank’s findings relevant to Kiwibank from its industry thematic review of compliance with its Liquidity Policy (BS13).

Any disclosures that may be required will be reported in the Disclosure Statement for the period ending 30 June 2022.

Directorate

There have been no changes in the Board for the six months ended 31 December 2021.

Responsible persons

Jonathan Peter Hartley and Mary Jane Daly have been authorised in writing to sign this Disclosure Statement in accordance with Section 82 of the RBNZ Act, on behalf of the directors, being:

Jonathan Peter Hartley	Mary Jane Daly
Kevin Mark Malloy	Carol Anne Campbell
Ian Cameron Blair	John Gilbert Sproat
Scott John Pickering	

Auditor

The auditor whose independent review report is referred to in this disclosure statement is Jonathan Freeman assisted by PricewaterhouseCoopers, acting as agent on behalf of the Office of the Auditor General. His address for service is PricewaterhouseCoopers, PwC Centre, 10 Waterloo Quay, Wellington 6011, New Zealand.

Guarantees

As at the date the Board approved this Disclosure Statement, payment obligations of Kiwibank in relation to certain debt securities issued by Kiwibank have the benefit of a guarantee by Kiwi Covered Bond Trustee Limited (the “**Covered Bond Guarantee**”). Also, the payment obligations of Kiwibank owed as at 28 February 2017 and still outstanding have the benefit of a deed poll guarantee by New Zealand Post Limited (the “**NZP Guarantee**”).

Further details on the guarantees can be obtained by referring to Kiwibank’s Disclosure Statement for the year ended 30 June 2021 which is available at kiwibank.co.nz.

On 31 October 2016, New Zealand Post Limited (“**NZP**”) gave notice of the termination of the NZP Guarantee (with an effective date of withdrawal of 28 February 2017). This termination did not affect any payment obligations of Kiwibank that were already guaranteed at the time the guarantee was terminated.

A summary of the details of each guarantee are set out below.

Covered Bond Guarantee

Certain debt securities (“**Covered Bonds**”) issued by Kiwibank are guaranteed by Kiwi Covered Bond Trustee Limited (the “**Covered Bond Guarantor**”), solely in its capacity as Trustee of Kiwibank Covered Bond Trust. No material conditions apply to the Covered Bond Guarantee other than non-performance by Kiwibank. There are no material legislative or regulatory restrictions in New Zealand which would have the effect of subordinating the claims under the guarantee of any creditors of the Banking Group on the assets of the Covered Bond Guarantor, to other claims on the Covered Bond Guarantor, in a winding up of the Covered Bond Guarantor. The Covered Bond Guarantee will remain in force until all monies payable under the Covered Bond Guarantee have been paid.

The Covered Bond Guarantor’s guarantee is limited to the payment of interest on and the principal of Covered Bonds, and such guarantee is secured over a pool of assets. There are no other limits on the amount of obligations guaranteed. The carrying value and approximate fair value of the Kiwi Covered Bond Trust pool at 31 December 2021 is \$700m (31 December 2020: \$1,000m; 30 June 2021: \$700m).

The Covered Bond Guarantor’s address for service is Level 16, SAP Tower, 151 Queen Street, Auckland 1010, New Zealand. The Covered Bond Guarantor is not a member of the Banking Group and has no applicable credit rating. The Covered Bonds have been assigned a long-term rating of Aaa and AAA by Moody’s and Fitch, respectively.

NZP Guarantee

NZP continues to support Kiwibank as a registered bank through the NZP Guarantee to the extent of guaranteed payment obligations that existed as at 28 February 2017. No material conditions apply to the NZP Guarantee other than non-performance by Kiwibank.

The following is a summary of the main features of the NZP Guarantee effective for payment obligations that existed as at 28 February 2017:

- i. The address for service of NZP is: Ground Floor, New Zealand Post House, 7 Waterloo Quay, Wellington 6011, New Zealand.
- ii. NZP is not a member of the Banking Group (as that term is defined in the Order).
- iii. The NZP Guarantee is an unsecured guarantee of all the payment obligations (excluding any payment obligations, the terms of which expressly provide in writing that they do not have the benefit of the NZP Guarantee) of Kiwibank owing as at 28 February 2017 and still outstanding. The NZP Guarantee has no expiry date in relation to the payment obligations that continue to be guaranteed.
- iv. There are no material legislative or regulatory restrictions in New Zealand, which would have the effect of subordinating the claims under the NZP Guarantee of any of the creditors of Kiwibank on the assets of NZP, to other claims on NZP, in a winding up of NZP. The net tangible assets of NZP were \$707m for the year ended 30 June 2021. NZP is the parent entity of the New Zealand Post Group (“**NZP Group**”), which had net tangible assets of \$1,122m for the year ended 30 June 2021 as calculated from NZP Group’s most recent publicly available audited financial statements for the year ended 30 June 2021 (there were no modifications in the audit report accompanying the NZP Group Annual Report).

NZP has a credit rating applicable to its long-term unsecured obligations payable in New Zealand, in New Zealand dollars, from S&P of A with a stable outlook.

Directors' statement

The directors of Kiwibank state that each director believes, after due enquiry, that:

1. As at the date on which the Disclosure Statement is signed:

- I. the Disclosure Statement contains all the information that is required by the Registered Bank Disclosure Statements (New Zealand Incorporated Registered Banks) Order 2014 (as amended); and
- II. the Disclosure Statement is not false or misleading.

2. During the period ended 31 December 2021:

- i. Kiwibank has complied in all material respects with the conditions of registration applicable during the period;
- ii. credit exposures to connected persons were not contrary to the interests of the Banking Group; and
- iii. Kiwibank had systems in place to monitor and control adequately the Banking Group's material risks, including credit risk, concentration of credit risk, interest rate risk, currency risk, equity risk, liquidity risk, operational risk and other business risks, and that those systems were being properly applied.

Signed by Jonathan Peter Hartley and Mary Jane Daly as directors and responsible persons on behalf of all the directors listed in the Directorate of this Disclosure Statement:

The image shows two handwritten signatures in black ink. The signature on the left is 'Jonathan Peter Hartley' and the signature on the right is 'Mary Jane Daly'. Both signatures are written in a cursive, flowing style.

23 February 2022

Interim financial statements

Income statement

For the six months ended 31 December 2021

Dollars in millions	Note	Unaudited 6 months ended 31/12/21	Unaudited 6 months ended 31/12/20 ¹	Audited year ended 30/06/21
Interest income		401	388	761
Interest expense		(103)	(138)	(233)
Net interest income		298	250	528
Net gains on financial instruments	2	9	4	8
Other operating income	3	21	22	41
Total operating income		328	276	577
Operating expenses		(232)	(198)	(422)
Profit before credit impairment and taxation		96	78	155
Credit impairment (losses)/reversals	5	(7)	-	19
Profit before taxation		89	78	174
Income tax expense		(25)	(23)	(48)
Profit after taxation		64	55	126

¹ In the 30 June 2021 audited financial statements, the Banking Group renamed 'Net fee and other income' to 'Other operating income', and reclassified certain operating expenses to direct fee expenses or to net amounts against gross revenue within 'Other operating income'. Amounts for the six months ended 31 December 2020 have been reclassified as follows to align with the current period's presentation: 'Operating expenses' and 'Other operating income' have decreased by \$11m.

Statement of comprehensive income

For the six months ended 31 December 2021

Dollars in millions	Unaudited 6 months ended 31/12/21	Unaudited 6 months ended 31/12/20	Audited year ended 30/06/21
Profit after taxation	64	55	126
Other comprehensive income			
Net (losses)/gains from changes in reserves that may subsequently be reclassified to profit or loss			
- Fair value reserve (net of tax)	(32)	(5)	(23)
- Cash flow hedge reserve (net of tax)	76	27	63
Other comprehensive income for the period/year	44	22	40
Total comprehensive income for the period/year	108	77	166

The notes to the financial statements form an integral part of, and should be read in conjunction with, these financial statements.

Interim financial statements continued

Statement of changes in equity

For the six months ended 31 December 2021

Dollars in millions	Note	Fully Paid Ordinary Shares	Retained Earnings	Fair Value Reserve	Cash Flow Hedge Reserve	Perpetual Preference Shares	Total Equity
Audited balance as at 30 June 2020		737	853	24	(44)	-	1,570
Unaudited 6 months ended 31 December 2020							
Unaudited profit for the period		-	55	-	-	-	55
Other comprehensive income							
Movement in fair value of investment securities (net of tax)		-	-	(5)	-	-	(5)
Cash flow hedges (net of tax)		-	-	-	27	-	27
Total other comprehensive income		-	-	(5)	27	-	22
Total comprehensive income		-	55	(5)	27	-	77
Transactions with owners							
Dividends paid on ordinary shares		-	-	-	-	-	-
Distributions to the holder of perpetual capital bonds		-	(3)	-	-	-	(3)
Unaudited balance at 31 December 2020		737	905	19	(17)	-	1,644
Audited year ended 30 June 2021							
Audited profit for the year		-	126	-	-	-	126
Other comprehensive income							
Movement in fair value of investment securities (net of tax)		-	-	(23)	-	-	(23)
Cash flow hedges (net of tax)		-	-	-	63	-	63
Total other comprehensive income		-	-	(23)	63	-	40
Total comprehensive income		-	126	(23)	63	-	166
Transactions with owners							
Dividends paid on ordinary shares		-	(6)	-	-	-	(6)
Distributions to the holder of perpetual capital bonds		-	(6)	-	-	-	(6)
Audited balance at 30 June 2021		737	967	1	19	-	1,724
Unaudited 6 months ended 31 December 2021							
Unaudited profit for the period		-	64	-	-	-	64
Other comprehensive income							
Movement in fair value of investment securities (net of tax)		-	-	(32)	-	-	(32)
Cash flow hedges (net of tax)		-	-	-	76	-	76
Total other comprehensive income		-	-	(32)	76	-	44
Total comprehensive income		-	64	(32)	76	-	108
Transactions with owners							
Issue of perpetual preference shares	16	-	-	-	-	246	246
Dividends paid on ordinary shares		-	(6)	-	-	-	(6)
Distributions to the holder of perpetual capital bonds		-	(3)	-	-	-	(3)
Unaudited balance at 31 December 2021		737	1,022	(31)	95	246	2,069

The notes to the financial statements form an integral part of, and should be read in conjunction with, these financial statements.

Interim financial statements continued

Balance sheet

As at 31 December 2021

Dollars in millions	Note	Unaudited 31/12/21	Unaudited 31/12/20	Audited 30/06/21
Assets				
Cash and cash equivalents		1,547	997	715
Due from related parties	18	76	81	77
Due from other financial institutions	8	200	193	26
Investment securities		1,509	1,610	1,704
Derivative financial instruments		270	295	228
Loans and advances	4	27,103	23,809	25,207
Deferred taxation		34	33	19
Intangible assets	15	44	60	50
Other assets		187	205	203
Total assets		30,970	27,283	28,229
<i>Total interest earning and discount bearing assets</i>		30,211	26,476	27,631
Liabilities				
Due to other financial institutions	9	1,720	336	718
Due to related parties	18	4	3	6
Deposits and other borrowings	10	23,822	21,891	22,399
Derivative financial instruments		168	314	195
Debt securities issued	11	2,694	2,476	2,544
Current tax liability		36	-	-
Other liabilities		200	198	228
Subordinated debt	12	257	421	415
Total liabilities		28,901	25,639	26,505
<i>Total interest and discount bearing liabilities</i>		23,256	20,996	21,492
Equity				
Share capital		737	737	737
Reserves		1,086	907	987
Perpetual preference shares	16	246	-	-
Total equity		2,069	1,644	1,724
Total liabilities and equity		30,970	27,283	28,229

The notes to the financial statements form an integral part of, and should be read in conjunction with, these financial statements.

Interim financial statements continued

Cash flow statement

For the six months ended 31 December 2021

Dollars in millions	Note	Unaudited 6 months ended 31/12/21	Unaudited 6 months ended 31/12/20	Audited year ended 30/06/21
Cash flows from operating activities				
Interest received		420	408	805
Interest paid		(104)	(185)	(305)
Fees and other income received		55	73	108
Direct fee expenses paid		(35)	(43)	(70)
Operating expenses paid		(233)	(230)	(374)
Taxes paid		(19)	(44)	(63)
Net cash flows from operating activities before changes in operating assets and liabilities		84	(21)	101
Net changes in operating assets and liabilities				
Investment securities		152	281	161
Loans and advances		(1,898)	(1,556)	(2,973)
Balances due from related parties		(1)	(8)	(1)
Balances due from other financial institutions		(174)	(88)	79
Deposits and other borrowing		1,421	1,340	1,871
Balances due to other financial institutions		471	19	(172)
Net cash flows from operating activities		55	(33)	(934)
Cash flows from investing activities				
Purchase of property, plant and equipment		(2)	(9)	(14)
Purchase of intangible assets		(3)	(10)	(15)
Net cash flows from investing activities		(5)	(19)	(29)
Cash flows from financing activities				
Repurchase agreements		531	-	573
Issue of debt securities		1,070	946	1,456
Redemption of debt securities		(899)	(656)	(1,093)
Payment of principal portion of lease liabilities		(7)	(7)	(14)
Receipt of lease incentives		-	6	6
Issue of subordinated debt		-	275	272
Issue of perpetual preference shares (net)	16	246	-	-
Repayment of perpetual capital bonds		(150)	-	-
Dividends paid on ordinary shares		(6)	-	(6)
Distributions paid to the holder of perpetual capital bonds		(3)	(3)	(6)
Net cash flows from financing activities		782	561	1,188
Increase/(decrease) in cash and cash equivalents		832	509	225
Cash and cash equivalents at beginning of the period/year		715	492	492
Effect of exchange translation adjustments		-	(4)	(2)
Cash and cash equivalents at end of the period/year		1,547	997	715

The notes to the financial statements form an integral part of, and should be read in conjunction with, these financial statements.

Notes to the interim financial statements

1. Summary of significant accounting policies

1.1 Reporting entity

These condensed consolidated interim financial statements ("**interim financial statements**") are presented for the "**Banking Group**", which consists of Kiwibank Limited ("**Kiwibank**" or the "**Bank**") and its subsidiaries. Kiwibank is a for-profit entity incorporated and domiciled in New Zealand under the Companies Act 1993 and is registered as a bank under the Reserve Bank of New Zealand Act 1989.

The principal activity of the Banking Group is the provision of banking products and services to individuals and small to medium-sized businesses.

Kiwibank's immediate parent company is Kiwi Group Holdings Limited ("**KGHL**"). KGHL is owned by New Zealand Post Limited ("**NZP**") (53%), NZSF Tui Investments Limited ("**NZSF**") (25%) and Accident Compensation Corporation ("**ACC**") (22%). The ultimate holding company of Kiwibank is NZP whose address for service is: Ground Floor, New Zealand Post House, 7 Waterloo Quay, Wellington 6011, New Zealand. The ultimate shareholder of Kiwibank is the New Zealand Crown (the "**Crown**").

1.2 Basis of preparation

These interim financial statements are for the Banking Group for the six months ended 31 December 2021 and have been prepared in accordance with Generally Accepted Accounting Practice in New Zealand, as appropriate for for-profit entities. They comply with NZ IAS 34 *Interim Financial Reporting*, IAS 34 *Interim Financial Reporting* and the Registered Bank Disclosure Statements (New Zealand Incorporated Registered Banks) Order 2014 (as amended) (the "**Order**"). The interim financial statements have been reviewed, not audited. These interim financial statements should be read in conjunction with the Banking Group's financial statements for the year ended 30 June 2021.

Measurement base

These interim financial statements are based on the general principles of historical cost accounting, modified by the application of fair value measurements for financial instruments held at fair value through other comprehensive income, financial instruments held at fair value through profit or loss and derivatives used for hedging. The carrying values of recognised assets and liabilities that are hedged items in fair value hedges, and otherwise carried at amortised cost, are adjusted to record changes in fair value attributable to the risks that are being hedged.

1.3 Accounting policies

The accounting policies adopted in the preparation of the interim financial statements are consistent with those followed in the preparation of the Banking Group's annual financial statements for the year ended 30 June 2021.

1.3.1 Interest Rate Benchmark Reform – Phase 2

The Banking Group continues to monitor the developments and expected impacts of the Interest Rate Benchmark Reform. There is no financial impact of the Interest Rate Benchmark Reform for the Banking Group because the relevant hedging instruments and hedged instrument will be repriced with the same equivalent alternative benchmark interest rate when the existing interest rate benchmark is replaced.

1.4 Critical accounting estimates and judgements

Information regarding the critical accounting estimates, assumptions and judgements is provided in the financial statements for the year ended 30 June 2021. These estimates and assumptions are continually evaluated and are based on historical experience and other factors, including expectations of future events that are considered to be reasonable under the circumstances. Actual results could differ from these estimates.

Updated estimates and assumptions in relation to the allowance for expected credit loss are set out in note 5.

1.5 Functional and presentation currency

The Banking Group's interim financial statements are presented in New Zealand dollars which is the Bank's functional and presentation currency. All amounts are expressed in millions of New Zealand dollars, unless otherwise stated.

Notes to the interim financial statements continued

1. Summary of significant accounting policies continued

1.6 Comparative amounts

Certain amounts in the comparative information have been reclassified to ensure consistency with the current period's presentation. In the current period, on the balance sheet the Banking Group has reclassified 'Property, plant and equipment' and 'Right-of-use assets' and aggregated with 'Other assets' and reclassified 'Lease liabilities' and 'Contract liabilities' and aggregated with 'Other liabilities'. Amounts as at 31 December 2020 and 30 June 2021 have been reclassified as follows to align with the current period's presentation: 31 December 2020: \$54m Property, plant and equipment and \$111m Right-of-use assets were reclassified and aggregated with Other assets, increasing the balance by \$165m to \$205m, \$119m Lease liabilities and \$7m Contract liabilities were reclassified and aggregated with Other liabilities, increasing the balance by \$126m to \$198m; 30 June 2021: \$51m Property, plant and equipment and \$110m Right-of-use assets were reclassified and aggregated with Other assets, increasing the balance by \$161m to \$203m, \$119m Lease liabilities were reclassified and aggregated with Other liabilities, increasing the balance to \$228m.

Other changes are disclosed within impacted notes where relevant.

Comparatives for these interim financial statements comprise the six month period ended 31 December 2020 and the year ended 30 June 2021. Reference to the 'audited' numbers in these interim financial statements are to numbers that have been extracted from the audited financial statements for the year ended 30 June 2021.

2. Net gains on financial instruments

Dollars in millions	Unaudited 6 months ended 31/12/21	Unaudited 6 months ended 31/12/20	Audited year ended 30/06/21
Financial instruments held for trading	4	-	-
Financial instruments at fair value through profit or loss	1	(1)	-
Cumulative gain transferred from fair value reserve	2	3	4
Net foreign exchange gains	2	2	4
Total net gains on financial instruments	9	4	8

Net ineffectiveness on qualifying cash flow hedges was insignificant (31 December 2020: was insignificant; 30 June 2021: was insignificant). Net ineffectiveness on qualifying fair value hedges amounted was insignificant (31 December 2020: was insignificant; 30 June 2021: \$0.3m).

3. Other operating income

Dollars in millions	Unaudited 6 months ended 31/12/21		
	Personal	Business	Total
Major service categories			
Lending services	5	3	8
Card services	30	-	30
Transactional account and other services	16	2	18
Total revenue from contracts with customers	51	5	56
Other income	-	-	-
Gross fee and other income	51	5	56
Direct fee expenses	(34)	(1)	(35)
Total other operating income	17	4	21

Notes to the interim financial statements continued

3. Other operating income continued

Dollars in millions	Unaudited 6 months ended 31/12/20		
	Personal	Business	Total
Major service categories			
Lending services	3	2	5
Card services	34	-	34
Transactional account and other services	16	3	19
Total revenue from contracts with customers	53	5	58
Other income	-	-	-
Gross fee and other income	53	5	58
Direct fee expenses	(36)	-	(36)
Total other operating income	17	5	22

In the 30 June 2021 audited financial statements, the Banking Group renamed 'Net fee and other income' to 'Other operating income', and reclassified certain operating expenses to direct fee expenses or to net amounts against gross revenue within 'Other operating income'. Amounts for the six months ended 31 December 2020 have been reclassified as follows to align with the current period's presentation: 'Gross fee and other income' has decreased by \$17m and 'Direct fee expenses' has decreased by \$6m.

Dollars in millions	Audited year ended 30/06/21		
	Personal	Business	Total
Major service categories			
Lending services	4	4	8
Card services	63	1	64
Transactional account and other services	30	6	36
Total revenue from contracts with customers	97	11	108
Other income	2	1	3
Gross fee and other income	99	12	111
Direct fee expense	(69)	(1)	(70)
Total other operating income	30	11	41

Notes to the interim financial statements continued

4. Loans and advances

The table below presents gross loans and advances by type of product. Total gross residential mortgage loans at 31 December 2021 were \$23,976m (31 December 2020: \$21,544m, 30 June 2021: \$22,481m). This includes *term loans – housing* and other residentially secured lending included within *other term lending* (see note 5).

Dollars in millions	Unaudited as at 31/12/21	Unaudited as at 31/12/20	Audited as at 30/06/21
Overdrafts	121	103	106
Credit cards	369	408	377
Term loans - housing	22,924	20,584	21,505
Other term lending	3,433	2,575	3,041
Other lending	314	213	232
Gross loans and advances	27,161	23,883	25,261
Provision for credit impairment	(58)	(74)	(54)
Total net loans and advances	27,103	23,809	25,207
Contractual maturity:			
Current	1,965	1,550	1,735
Non-current	25,138	22,259	23,472

Business Finance Guarantee Scheme

The Minister of Finance established the Business Finance Guarantee Scheme (the “**Scheme**”) in April 2020 to help banks support New Zealand businesses facing hardship due to COVID-19 via an indemnity pursuant to section 65ZD of the Public Finance Act 1989, with further deeds of indemnity executed in August 2020 and December 2020. The Scheme closed for applications on 30 June 2021 and existing loans will be repaid over the period to 30 June 2026.

The amount of loans issued under this Scheme at 31 December 2021 were \$103m (31 December 2020: \$22m, 30 June 2021: \$108m).

Reconciliation of residential mortgage-related amounts

Dollars in millions	Unaudited as at 31/12/21
On-balance sheet exposures	
Residential mortgages total on-balance sheet exposures (capital adequacy)	23,874
Provision for credit impairment	19
Deferred arrangement fees	83
Gross residential mortgage loans per asset quality (note 5)	23,976
Residentially secured lending included within 'Other term lending'	(1,052)
Gross 'term loans - housing' per loans and advances (note 4)	22,924
Off-balance sheet exposures	
Residential mortgages total off-balance sheet exposures (capital adequacy)	783
Adjustment for credit conversion factor	1,984
Gross residential mortgage loans per asset quality (note 5)	2,767

Notes to the interim financial statements continued

5. Asset quality

Credit impairment (losses)/reversals recognised in income statement

Dollars in millions	Unaudited 6 months ended 31/12/21			
	Retail unsecured lending	Residential mortgage loans	Business exposures	Total
Credited/(charged) to the income statement for collectively assessed provisions	2	1	(7)	(4)
(Charged)/credited to the income statement for individually assessed provisions	-	(1)	-	(1)
Amounts written off directly to the income statement	(3)	-	-	(3)
Recovery of amounts previously written off	1	-	-	1
Total credit impairment (losses)/reversals per income statement	-	-	(7)	(7)

Dollars in millions	Unaudited 6 months ended 31/12/20			
	Retail unsecured lending	Residential mortgage loans	Business exposures	Total
Credited/(charged) to the income statement for collectively assessed provisions	4	(2)	-	2
Credited/(charged) to the income statement for individually assessed provisions	-	1	(1)	-
Amounts written off directly to the income statement	(3)	-	-	(3)
Recovery of amounts previously written off	1	-	-	1
Total credit impairment reversals/(losses) per income statement	2	(1)	(1)	-

Dollars in millions	Audited year ended 30/06/21			
	Retail unsecured lending	Residential mortgage loans	Business exposures	Total
Credited/(charged) to the income statement for collectively assessed provisions	7	19	(3)	23
Credited/(charged) to the income statement for individually assessed provisions	-	1	(1)	-
Amounts written off directly to the income statement	(7)	-	-	(7)
Recovery of amounts previously written off	3	-	-	3
Total credit impairment reversals/(losses) per income statement	3	20	(4)	19

Recovery of amounts previously written off are recognised directly in the income statement and there is no related movement in provisions when amounts are recovered.

Impact of COVID-19 on provision for credit impairment for the six months ended 31 December 2021

COVID-19 continues to affect global and domestic economies and directly impacts the Banking Group's customers. It now appears that COVID-19 and its variants will become endemic but the medium and longer term direct and indirect impacts on health outcomes and economic activity remain uncertain.

The recent incidence of Omicron in the community is expected to lead to a significant increase in customers unable to work for a short period of time but the impact on borrower debt servicing is expected to be limited due to customers' access to sick and annual leave and the government's COVID-19 leave subsidy. Any longer-term reductions in income due to Omicron should be mitigated through customer use of the existing Hardship arrangements. Omicron could also lead to some additional business lending credit losses in specific industries due to reduced business activity. However, the COVID-19 credit loss experience to date has not been significant, despite the incidence of extended lockdowns, with no new loss data available requiring any additional ECL model overlays. That position will continue to be monitored closely as Omicron impacts the community.

An updated explanation of the specific areas of uncertainty and judgement due to COVID-19 for the six months ended 31 December 2021 are described in more detail on the following page.

Notes to the interim financial statements continued

5. Asset quality continued

While there are no specific banking industry COVID-19 lending support packages available, Kiwibank continues to offer interest only, deferred payment and term extension options to customers who are financially impacted by the pandemic. Retail lending support is being provided under the Bank's hardship criteria, which is available to all Kiwibank customers experiencing some form of temporary financial stress. In addition, Business customers have access to various government assistance schemes including Resurgence Support Payments and the Small Business Cashflow Scheme. As at 31 December 2021, the Bank had \$2.8m of mortgage lending (13 customers) still receiving support through loan modification (deferred payments, interest only, or term extension), originally provided under the industry-wide COVID-19 loan support assistance available between March 2020 and March 2021.

Key changes in expected credit loss ("ECL") provisions

Further analysis of the significant judgements and associated assumptions in relation to changes in model inputs, scenario weightings (included within ECL movements), and model overlays is detailed below. The following table summarises the movement in the provision for credit impairment for the period ended 31 December 2021:

Dollars in millions	Individually assessed provisions	Collectively assessed provisions		Total provision for credit impairment on loans	ECL on undrawn commitments	Total provision
		Modelled ECL	Model overlays			
Audited as at 30 June 2021	1	45	8	54	8	62
Movement	1	1	2	4	1	5
Unaudited as at 31 December 2021	2	46	10	58	9	67

Changes in ECL model assumptions and inputs

The modelled provision for expected credit losses is an estimate of forward-looking losses based on the Banking Group's view of four different economic scenarios. These economic scenarios continue to be reassessed as more data has become available on the actual impacts of COVID-19 on the economy over the last six months as well as how COVID-19 and other macro-economic factors may impact the economy over the forecast period.

The Bank has updated the economic scenario assumptions to recognise changes in both the domestic and global economies compared to the previous scenario assumptions used as at 30 June 2021. The latest scenarios reflect the move from a COVID-19 elimination strategy to an environment where COVID-19 is likely to become endemic but at a manageable level allowing most industries to operate, albeit with varying levels of restrictions. The scenarios also reflect a more subdued recovery for the global economy given the emergence of the Omicron variant of COVID-19, increasing global inflation, continuing supply chain issues and varying levels of trade disruption. The key changes in underlying macro-economic assumptions and weightings used at 31 December 2021 compared to 30 June 2021 are presented on the following page.

Notes to the interim financial statements continued

5. Asset quality continued

Scenario		Unaudited as at 31/12/21	Audited as at 30/06/21
Central COVID-19 Single extended lockdown	Real GDP	Annual growth rebounds in 2022 before moderating to a range of 1.8% - 2.5% p.a. from 2023.	Annual growth rebounds in 2021 before moderating to a range of 2.0% - 2.5% p.a. from 2023.
	Unemployment	Unemployment increases from 3.5% p.a. to 4.1% p.a. by the end of 2023.	Unemployment reduces from 4.9% p.a. to 4.0% p.a. by the end of 2024.
	House price index	Annual house price growth slows to close to 0% in early 2023 before recovering to an annual growth rate of 2.5% - 3.5% p.a..	Annual house price growth falls to 1.0% p.a. by the end of 2022 before returning to an annual growth rate of 4.0% - 4.5% p.a. from late 2023 onwards.
Upside COVID-19 Single lockdown event	Real GDP	Annual growth rebounds in 2022 before moderating to a range of 2.5% - 3.0% p.a. from mid-2023.	Annual GDP growth rebounds in 2021 before moderating to 2.7% p.a. by the start of 2024.
	Unemployment	Unemployment remains below 3.5% p.a. until early 2024, increasing to 4.0% p.a. by the end of 2024.	Unemployment declines from 4.9% p.a. to 3.5% p.a. by the end of 2023.
	House price index	Annual house price growth slows to 4.0% - 5.5% p.a. by early 2023.	Strong house price growth continues through 2022 before moderating to ~5.5% p.a. annual growth rate by the end of 2024.
Downside COVID-19 Multiple lockdowns	Real GDP	After the 2022 rebound, GDP growth remains below 1.5% p.a. until early 2024. Annual GDP growth of 2.0% - 3.0% p.a. from early 2024.	After the 2021 rebound, GDP growth remains below 1% p.a. until mid-2022. Annual GDP grows at ~2.5% p.a. from 2024.
	Unemployment	Unemployment increases from the end of 2022, peaking above 4.5% p.a. in 2023 before recovering to ~4.0% p.a. by late 2024.	Unemployment increases marginally over the remainder of 2021 before recovering to ~4.0% p.a. by late 2024.
	House price index	Annual house prices fall by 5.0% p.a. mid-2023, before returning to an annual growth rate of 8.0% - 9.0% p.a. in 2024.	Annual house price growth falls below 1% p.a. before returning to an annual growth of ~4.5% p.a. from mid-2024.
Severe stress Regulator stress test with extended recession	Real GDP	GDP falls by 0.9% p.a. over 2022, followed by a further drop of 2.6% p.a. over 2023.	Annual average GDP growth falls to -2% p.a. by the second year of the scenario, not recovering to the starting level until the end of year 3.
	Unemployment	Unemployment increases to a peak of 9.5% p.a. in late 2023 with minimal recovery in 2024.	Unemployment increases and peaks above 10% p.a..
	House price index	House prices decrease ~35% p.a. from their peak.	House prices decrease ~35% p.a. from their peak.

The weightings applied to each scenario have been reviewed and are amended from the weightings applied at 30 June 2021. The weightings as at 31 December 2021 reflect an assessment that downside risks are slightly higher than those applied previously. This is due to:

- COVID-19 now likely to become endemic but with varying levels of new infections and the periodic incidence of associated alert level restrictions;
- the potential for more infectious variants;
- uncertainty around the availability and take-up rate of vaccinations and boosters necessary to effectively suppress community infection levels; and
- the slower rebound in global economic outcomes now expected for calendar year 2022.

Notes to the interim financial statements continued

5. Asset quality continued

Changes in scenario weightings

The weightings applied to the scenarios in the calculation of the ECL as at 31 December 2021 are outlined below:

Scenario weighting applied	Unaudited as at 31/12/21	Audited as at 30/06/21
Central	45%	50%
Upside	10%	10%
Downside	35%	30%
Severe stress	10%	10%

Changes in model overlays from 30 June 2021

Model overlays are required in circumstances where it is judged that the existing inputs, assumptions and model techniques do not capture all the risk factors relevant to the Banking Group's lending portfolios. The Banking Group holds a number of overlays reflecting credit risks that are not yet incorporated into ECL models due to data gaps in limited loss histories, limitations in model design and for risk drivers the Banking Group is unable to currently estimate with sufficient precision.

Dollars in millions	Unaudited as at 31/12/21	Audited as at 30/06/21
COVID-19 model overlays	-	-
Other model overlays	10	8
Total model overlays	10	8

Sensitivity of ECL to key judgements and assumptions

The economic and health threats posed by the COVID-19 pandemic will continue for some time, so the assumptions which underlay each scenario and the weightings applied may vary significantly from the actual track of the economy. Other events, including those with a low likelihood but a high impact on the economy and on credit losses, might also occur over the forecast period so that the actual economy might perform differently to the scenarios modelled. Those variances will result in an understatement or overstatement of the provision for credit impairment. Given this uncertainty, and as the impact of judgements is significant, a sensitivity analysis is included below to outline the impact of applying different scenario weightings and overlay assumptions on the level of ECL.

The following table outlines the sensitivity of ECL to the key factors used to determine provisions as at 31 December 2021. This sensitivity includes giving each economic scenario a 100% weighting, adjusting some model overlays to reflect those scenario conditions while holding all other modelling factors constant.

Dollars in millions	Unaudited as at 31/12/21	
	Total ECL	Impact
If 1% of stage 1 exposure transitions to stage 2	71	4
If 1% of stage 2 exposure transitions to stage 1	67	-
Reported probability-weighted ECL	67	-
100% upside scenario ECL	47	(20)
100% central scenario ECL	60	(7)
100% downside scenario ECL	75	8
100% severe stress ECL	96	29

The sensitivity outlined above represents the Banking Group's best estimate of the range of reasonably plausible outcomes but, due to economic uncertainty, the actual range might be significantly greater.

Notes to the interim financial statements continued

5. Asset quality continued

Summary of lending

Dollars in millions	Unaudited as at 31/12/21			
	Retail unsecured lending	Residential mortgage loans	Business exposures	Total
Neither past due nor impaired	371	23,901	2,762	27,034
Past due but not impaired	14	74	37	125
Impaired	-	1	1	2
Gross loans and advances	385	23,976	2,800	27,161
Provision for credit impairment	(8)	(19)	(31)	(58)
Fair value hedge adjustments	-	-	-	-
Net loans and advances	377	23,957	2,769	27,103

Loans and advances past due but not impaired

Dollars in millions	Unaudited as at 31/12/21			
	Retail unsecured lending	Residential mortgage loans	Business exposures	Total
Past due less than 30 days	11	53	10	74
Past due 30 - 59 days	2	8	23	33
Past due 60 - 89 days	1	2	2	5
Past due 90 days or greater	-	11	2	13
Total past due but not impaired	14	74	37	125

Other asset quality information

Dollars in millions	Unaudited as at 31/12/21			
	Retail unsecured lending	Residential mortgage loans	Business exposures	Total
Undrawn lending commitments to counterparties with individually impaired assets	-	-	-	-
Other assets under administration	-	-	-	-

Notes to the interim financial statements continued

5. Asset quality continued

Movement in provision for credit impairment and gross carrying amount

The following pages include tables summarising the movements in provision for credit impairment split by category of retail unsecured lending, residential mortgage loans and business exposures. Aggregate information for all categories is presented also.

The movement tables are presented on the following basis:

- Additions are amounts from new commitments and facilities drawn during the period.
- Deletions are amounts repaid or closed and commitments utilised or closed during the period.
- Transfers between ECL stages show the impact of the initial transfer.
- Net remeasurement of loss allowance includes the subsequent increase or decrease of the provision for the transferred amounts and the net impact of changes in credit quality of existing lending.
- Other changes in ECL include the impact of non-significant changes in the credit quality of existing lending, changes in future forecast assumptions and other model or overlay changes.

Movement in provision for credit impairment - retail unsecured lending exposures

Dollars in millions	Unaudited 6 months ended 31/12/21				
	Stage 1	Stage 2	Stage 3		Total
	Collectively assessed	Collectively assessed	Collectively assessed	Individually assessed	
Total provision for loans and commitments at beginning of the period - retail unsecured lending	6	6	-	-	12
Transfers between stages:					
- Transferred to Stage 1	1	(1)	-	-	-
- Transferred to Stage 2	-	-	-	-	-
- Transferred to Stage 3	-	-	-	-	-
- Transferred to Stage 3 individually assessed	-	-	-	-	-
Total transfers between stages	1	(1)	-	-	-
(Credited)/charged to income statement for collectively assessed provisions					
- Net remeasurement of loss allowances	(1)	2	-	-	1
- Changes due to additions and deletions	-	(1)	-	-	(1)
- Changes due to amounts written off	-	(1)	-	-	(1)
- Other changes	(1)	-	-	-	(1)
Total (credited)/charged to income statement for collectively assessed provisions	(2)	-	-	-	(2)
Charged/(credited) to income statement for individually assessed provisions					
- New and increased provisions	-	-	-	-	-
- Write-back of provisions no longer required	-	-	-	-	-
Total charged/(credited) to income statement for individually assessed provisions	-	-	-	-	-
Amounts written off from individually assessed provisions	-	-	-	-	-
Total provision for loans and commitments at end of the period - retail unsecured lending	5	5	-	-	10
Presented as:					
- Provision for credit impairment on loans	4	4	-	-	8
- Provision for credit impairment on undrawn commitments	1	1	-	-	2
Total provision for loans and commitments at end of the period - retail unsecured lending	5	5	-	-	10

Notes to the interim financial statements continued

5. Asset quality continued

Impact of changes in gross carrying amount and credit commitments on ECL - retail unsecured lending exposures

Dollars in millions	Unaudited 6 months ended 31/12/21				Total
	Stage 1	Stage 2	Stage 3		
	Collectively assessed	Collectively assessed	Collectively assessed	Individually assessed	
Gross carrying amount - retail unsecured lending					
Balance at beginning of the period	296	94	1	-	391
Net transfers between stages	7	(7)	-	-	-
Additions	93	13	-	-	106
Deletions	(95)	(14)	-	-	(109)
Amounts written off	-	(3)	-	-	(3)
Gross carrying amount at end of the period - retail unsecured lending	301	83	1	-	385
Off-balance sheet credit commitments - retail unsecured lending					
Balance at beginning of the period	900	26	-	-	926
Net transfers between stages	(2)	2	-	-	-
Additions	102	7	-	-	109
Deletions	(123)	(11)	-	-	(134)
Off-balance sheet credit commitments at end of the period - retail unsecured lending	877	24	-	-	901

Significant changes in the gross carrying amount of retail unsecured loans that contributed to changes in the provision for credit impairment for the period ended 31 December 2021 are outlined below.

Credit impairment provisions on retail unsecured lending decreased by \$2m:

- decrease in ECL due to a \$31m reduction in exposures (-\$1m),
- remeasurement of ECL as a result of exposures migrating to higher risk grades (+\$1m),
- changes to economic scenarios and model overlays (-\$1m),
- \$3m of balances that were written off from stage 2 (-\$1m).

Notes to the interim financial statements continued

5. Asset quality continued

Movement in provision for credit impairment – residential mortgage loan exposures

	Unaudited 6 months ended 31/12/21				Total
	Stage 1 Collectively assessed	Stage 2 Collectively assessed	Stage 3 Collectively assessed Individually assessed		
Dollars in millions					
Total provision for loans and commitments at beginning of the period – residential mortgage loans	11	7	2	-	20
Transfers between stages:					
- Transferred to Stage 1	2	(2)	-	-	-
- Transferred to Stage 2	-	-	-	-	-
- Transferred to Stage 3	-	-	-	-	-
- Transferred to Stage 3 individually assessed	-	-	-	-	-
Total transfers between stages	2	(2)	-	-	-
(Credited)/charged to income statement for collectively assessed provisions					
- Net remeasurement of loss allowances	(2)	1	1	-	-
- Changes due to additions and deletions	1	-	(1)	-	-
- Changes due to amounts written off	-	-	-	-	-
- Other changes	-	(1)	-	-	(1)
Total (credited)/charged to income statement for collectively assessed provisions	(1)	-	-	-	(1)
Charged/(credited) to income statement for individually assessed provisions					
- New and increased provisions	-	-	-	1	1
- Write-back of provisions no longer required	-	-	-	-	-
Total charged/(credited) to income statement for individually assessed provisions	-	-	-	1	1
Amounts written off from individually assessed provisions	-	-	-	-	-
Total provision for loans and commitments at end of the period – residential mortgage loans	12	5	2	1	20
Presented as:					
- Provision for credit impairment on loans	11	5	2	1	19
- Provision for credit impairment on undrawn commitments	1	-	-	-	1
Total provision for loans and commitments at end of the period – residential mortgage loans	12	5	2	1	20

Notes to the interim financial statements continued

5. Asset quality continued

Impact of changes in gross carrying amount on ECL - residential mortgage loan exposures

Dollars in millions	Unaudited 6 months ended 31/12/21				Total
	Stage 1	Stage 2	Stage 3		
	Collectively assessed	Collectively assessed	Collectively assessed	Individually assessed	
Gross carrying amount - residential mortgage loans					
Balance at beginning of the period	21,638	827	16	-	22,481
Net transfers between stages	58	(64)	5	1	-
Additions	4,297	49	-	-	4,346
Deletions	(2,745)	(101)	(5)	-	(2,851)
Amounts written off	-	-	-	-	-
Balance at end of the period - residential mortgage loans	23,248	711	16	1	23,976
Off-balance sheet credit commitments – residential mortgage loans					
Balance at beginning of the period	2,505	27	-	-	2,532
Net transfers between stages	(5)	5	-	-	-
Additions	923	9	-	-	932
Deletions	(686)	(11)	-	-	(697)
Off-balance sheet credit commitments at end of the period – residential mortgage loans	2,737	30	-	-	2,767

Significant changes in the gross carrying amount of residential mortgage loans that contributed to changes in the provision for credit impairment for the period ended 31 December 2021 are outlined below.

Credit impairment provisions on residential mortgage loans remained stable at \$20m:

- increase in ECL due to \$1.7bn growth in exposures was fully offset by improvements in LGD's (loss given default) due to house price growth,
- remeasurement of ECL as a result of exposures migrating to higher risk grades (+\$2m), offset by credit quality improvements in Stage 1 (-\$2m),
- changes to economic scenarios and model overlays (-\$1m),
- increase in individually assessed provisions (+\$1m).

Notes to the interim financial statements continued

5. Asset quality continued

Movement in provision for credit impairment – business exposures

Dollars in millions	Unaudited 6 months ended 31/12/21				Total
	Stage 1	Stage 2	Stage 3		
	Collectively assessed	Collectively assessed	Collectively assessed	Individually assessed	
Total provision for loans and commitments at beginning of the period – business exposures	20	8	1	1	30
Transfers between stages:					
- Transferred to Stage 1	-	-	-	-	-
- Transferred to Stage 2	-	-	-	-	-
- Transferred to Stage 3	-	-	-	-	-
- Transferred to Stage 3 individually assessed	-	-	-	-	-
Total transfers between stages	-	-	-	-	-
Charged/(Credited) to income statement for collectively assessed provisions					
- Net remeasurement of loss allowances	-	1	-	-	1
- Changes due to additions and deletions	4	3	-	-	7
- Changes due to amounts written off	-	-	-	-	-
- Other changes	-	(1)	-	-	(1)
Total charged/(credited) to income statement for collectively assessed provisions	4	3	-	-	7
Charged/(credited) to income statement for individually assessed provisions					
- New and increased provisions	-	-	-	-	-
- Write-back of provisions no longer required	-	-	-	-	-
Total charged/(credited) to income statement for individually assessed provisions	-	-	-	-	-
Amounts written off from individually assessed provisions	-	-	-	-	-
Total provision for loans and commitments at end of the period – business exposures	24	11	1	1	37
Presented as:					
- Provision for credit impairment on loans	20	9	1	1	31
- Provision for credit impairment on undrawn commitments	4	2	-	-	6
Total provision for loans and commitments at end of the period – business exposures	24	11	1	1	37

Notes to the interim financial statements continued

5. Asset quality continued

Impact of changes in gross carrying amount on ECL – business exposures

	Unaudited 6 months ended 31/12/21				
	Stage 1	Stage 2	Stage 3		
Dollars in millions	Collectively assessed	Collectively assessed	Collectively assessed	Individually assessed	Total
Gross carrying amount - business exposures					
Balance at beginning of the period	2,286	97	5	1	2,389
Net transfers between stages	(32)	32	-	-	-
Additions	872	50	1	-	923
Deletions	(463)	(48)	(1)	-	(512)
Amounts written off	-	-	-	-	-
Balance at end of the period - business exposures	2,663	131	5	1	2,800
Off-balance sheet credit commitments – business exposures					
Balance at beginning of the period	848	15	-	-	863
Net transfers between stages	(3)	3	-	-	-
Additions	501	15	1	-	517
Deletions	(408)	(7)	-	-	(415)
Off-balance sheet credit commitments at end of the period – business exposures	938	26	1	-	965

Significant changes in the gross carrying amount of business exposures that contributed to changes in the provision for credit impairment for the period ended 31 December 2021 are outlined below.

Credit impairment provisions on business exposures increased by \$7m:

- increase in ECL due to \$513m growth in exposures (+\$4m) and migration to higher risk grades (+\$3m),
- remeasurement of ECL as a result of changes in credit risk (+\$1m),
- changes to economic scenarios and model overlays (-\$1m).

Notes to the interim financial statements continued

5. Asset quality continued

Movement in provision for credit impairment – total exposures

Dollars in millions	Unaudited 6 months ended 31/12/21				Total
	Stage 1	Stage 2	Stage 3		
	Collectively assessed	Collectively assessed	Collectively assessed	Individually assessed	
Total provision for loans and commitments at beginning of the period – total exposures	37	21	3	1	62
Transfers between stages:					
- Transferred to Stage 1	3	(3)	-	-	-
- Transferred to Stage 2	-	-	-	-	-
- Transferred to Stage 3	-	-	-	-	-
- Transferred to Stage 3 individually assessed	-	-	-	-	-
Total transfers between stages	3	(3)	-	-	-
(Credited)/charged to income statement for collectively assessed provisions					
- Net remeasurement of loss allowances	(3)	4	1	-	2
- Changes due to additions and deletions	5	2	(1)	-	6
- Changes due to amounts written off	-	(1)	-	-	(1)
- Other changes	(1)	(2)	-	-	(3)
Total charged/(credited) to income statement for collectively assessed provisions	1	3	-	-	4
Charged/(credited) to income statement for individually assessed provisions					
- New and increased provisions	-	-	-	1	1
- Write-back of provisions no longer required	-	-	-	-	-
Total charged/(credited) to income statement for individually assessed provisions	-	-	-	1	1
Amounts written off from individually assessed provisions	-	-	-	-	-
Total provision for loans and commitments at end of the period – total exposures	41	21	3	2	67
Presented as:					
- Provision for credit impairment on loans (refer to note 4)	35	18	3	2	58
- Provision for credit impairment on undrawn commitments	6	3	-	-	9
Total provision for loans and commitments at end of the period – total exposures	41	21	3	2	67

Notes to the interim financial statements continued

5. Asset quality continued

Impact of changes in gross carrying amount on ECL – total exposures

Dollars in millions	Unaudited 6 months ended 31/12/21				Total
	Stage 1	Stage 2	Stage 3		
	Collectively assessed	Collectively assessed	Collectively assessed	Individually assessed	
Gross carrying amount - total exposures					
Balance at beginning of the period	24,220	1,018	22	1	25,261
Net transfers between stages	33	(39)	5	1	-
Additions	5,262	112	1	-	5,375
Deletions	(3,303)	(163)	(6)	-	(3,472)
Amounts written off	-	(3)	-	-	(3)
Balance at end of the period - total exposures	26,212	925	22	2	27,161
Off-balance sheet credit commitments – total exposures					
Balance at beginning of the period	4,253	68	-	-	4,321
Net transfers between stages	(10)	10	-	-	-
Additions	1,526	31	1	-	1,558
Deletions	(1,217)	(29)	-	-	(1,246)
Off-balance sheet credit commitments at end of the period – total exposures	4,552	80	1	-	4,633

Credit quality of loans and advances neither past due nor impaired

A large portion of the credit exposures, such as residential mortgages, are secured. That is, the fair value of associated security is sufficient to ensure that the Banking Group will recover the entire amount owing over the life of the facility and there is reasonable assurance that collection efforts will result in payment of the amounts due in a timely manner.

The credit quality of loans and advances to customers that were neither past due nor impaired can be assessed by reference to the Bank's credit scoring systems. At the origination of loans and advances to customers, retail advances are assessed on a combination of debt-servicing ability, demographic characteristics and loan-to-valuation ("LVR") ratios. Non-retail advances are individually risk-graded against similar characteristics. The behavioural credit characteristics are reviewed periodically for adverse changes during the loan's life. Interest continues to be accrued on all loans. No interest has been foregone, except for certain customers with credit cards at 0% interest rates as part of Customer Care packages.

Credit quality of other financial assets

In addition to assessing impairment for loans and advances, the Banking Group has assessed impairment for cash and cash equivalents, due from other financial institutions, due from related parties, investment securities and other financial assets. All of these financial assets are considered of high credit quality and are neither past due nor impaired. The identified impairment loss for all other financial assets, excluding loans and advances, was immaterial.

Credit risk related adjustments on financial assets at fair value

Credit impairment losses of \$0.1m were recognised through other comprehensive income in relation to expected credit losses on Investment Securities held at fair value through other comprehensive income in the period ended 31 December 2021 (31 December 2020: \$0.1m; 30 June 2021: \$0.1m).

Credit Valuation Adjustments ("CVA") and Debit Valuation Adjustments ("DVA") are included in the valuations of Derivative Financial Instruments and these adjustments are recognised within net gains on financial instruments in the income statement. A gain of \$0.5m was recognised in the income statement related to CVA and DVA during the period ended 31 December 2021 (31 December 2020: a gain of \$0.3m; 30 June 2021: a gain of \$0.5m).

Notes to the interim financial statements continued

5. Asset quality continued

Definitions

“**Impaired asset**” means any credit exposures against which an individually assessed provision has been recorded in accordance with NZ IFRS 9 – *Financial instruments*.

A “**90-day past due asset**” is any loan which has not been operated by the borrower within its key terms for at least 90 days and which is not an impaired asset.

An “**asset under administration**” is any credit exposure which is not an impaired asset or a past due asset, but is to a counterparty who is in receivership, liquidation, bankruptcy, statutory management or any form of administration. These are classified as “other assets under administration” and reported separately.

6. Concentration of credit risk

Concentrations of credit risk arise where the Banking Group is exposed to risk in activities or industries of a similar nature. An analysis of financial assets by industry sector at the reporting date is as follows:

Dollars in millions	Unaudited as at 31/12/21		
	On-balance sheet financial assets	Off-balance sheet commitments	Total credit exposure
New Zealand			
Agriculture	16	10	26
Food and other manufacturing	319	90	409
Electricity, gas and water	21	8	29
Construction	495	400	895
Retail and wholesale trade	262	84	346
Transport and storage	190	37	227
Communications	34	20	54
Finance, investment and insurance	704	65	769
Property and business services	2,229	264	2,493
Professional, scientific and technical services	86	33	119
Government, local authorities and services	2,044	1	2,045
Education	16	4	20
Personal and other services	94	28	122
Health and community services	145	25	170
Households	23,154	3,555	26,709
Overseas			
Finance, investment and insurance	954	9	963
Subtotal	30,763	4,633	35,396
Less provision for credit impairment	(58)	(9)	(67)
Other financial assets	26	-	26
Total	30,731	4,624	35,355

Australian and New Zealand Standard Industrial Classification (“**ANZSIC**”) codes have been used as the basis for disclosing customer industry sectors in the above table.

Notes to the interim financial statements continued

6. Concentration of credit risk continued

Dollars in millions	Unaudited as at 31/12/21		
	On-balance sheet financial assets	Off-balance sheet commitments	Maximum exposure to credit risk
Credit risk exposure			
Loans and advances	27,161	4,633	31,794
Due from other financial institutions	200	-	200
Due from related parties	76	-	76
Derivative financial instruments	270	-	270
Investment securities	1,509	-	1,509
Cash and cash equivalents	1,547	-	1,547
Other financial assets	26	-	26
Subtotal	30,789	4,633	35,422
Less provision for credit impairment	(58)	(9)	(67)
Total	30,731	4,624	35,355

The table above represents the maximum net credit risk exposure of the Banking Group as at 31 December 2021. The exposures set out are based on net carrying amounts as reported in the balance sheet.

The exposure of the Banking Group derived from loans and advances to retail and corporate customers is 88% of the total maximum exposure (31 December 2020: 88%; 30 June 2021: 90%).

Collateral management

The Banking Group holds financial charges over borrowers' specific assets and is able to enforce the collateral in satisfying the debt in the event borrowers fail to meet contractual obligations. The collateral held for mitigating credit risk for the Banking Group's lending portfolios is outlined below.

Retail unsecured lending

Retail unsecured lending includes credit cards and overdrafts, and is an unsecured portfolio. As at 31 December 2021, 100% of the maximum credit exposure is unsecured.

Residential mortgage loans

Residential mortgages are secured by a charge over borrowers' residential property. Additional security can also include a charge over deposits and guarantees from borrowers' related parties. As at 31 December 2021, 98.6% is fully secured and 1.4% is partially secured.

Business exposures

Business lending is typically secured by way of a charge over property; a charge over business assets, other assets or deposits; or guarantees from borrowers' related parties. Fully secured exposures are those that have security cover greater than or equal to 100%, partially secured exposures are those that have security cover of 40 - 99.9% and unsecured exposures are those that have security cover less than 40%. As at 31 December 2021, 60.7% is fully secured, 13.3% is partially secured and 26.0% is unsecured.

Collateral on credit impaired assets

As at 31 December 2021, 74.8% of the Banking Group's impaired gross loans were fully secured, 2.2% were partially secured and 23.0% were unsecured.

Notes to the interim financial statements continued

7. Concentration of credit exposures to counterparties

CREDIT EXPOSURES TO INDIVIDUAL COUNTERPARTIES

Credit exposure concentrations to individual counterparties at the reporting date are disclosed on the basis of actual credit exposures. Peak end-of-day aggregate credit exposures are calculated on the basis of the maximum end-of-day aggregate amount of actual credit exposures over the six-month period (gross of set-offs) divided by the Banking Group's common equity tier 1 capital ("CET1 capital") at the end of the period.

The individual counterparty exposures included in the following table exclude exposures to:

- connected persons;
- the central government or central bank of any country with a long-term credit rating of A- or A3 or above, or its equivalent; and
- any supranational or quasi-sovereign agency with a long-term credit rating of A- or A3 or above, or its equivalent.

	Unaudited as at 31/12/21	Peak end-of- day over 6 months ended 31/12/21
Exposures to banks		
Total number of exposures to banks that are greater than 10% of CET1 capital	-	2
With a long-term credit rating of A- or A3 or above, or its equivalent	-	2
- 10% to less than 15% of CET1 capital	-	2
- 15% to less than 20% of CET1 capital	-	-
- 20% to less than 25% of CET1 capital	-	-
- 25% to less than 30% of CET1 capital	-	-
With a long-term credit rating of at least BBB- or Baa3, or its equivalent, and at most BBB+ or Baa1, or its equivalent	-	-
Exposures to non-banks		
Total number of exposures to non-banks that are greater than 10% of CET1 capital	1	1
With a long-term credit rating of A- or A3 or above, or its equivalent	1	1
With a long-term credit rating of at least BBB- or Baa3, or its equivalent, and at most BBB+ or Baa1, or its equivalent	-	-

8. Due from other financial institutions

	Unaudited as at 31/12/21	Unaudited as at 31/12/20	Audited as at 30/06/21
Dollars in millions			
Unsettled receivables	97	118	-
Collateral paid	103	75	26
Total amounts due from other financial institutions – current	200	193	26

As at 31 December 2021, included within the balance above, is \$103.2m of collateral pledged by Kiwibank in respect of its credit support annex obligations to derivative counterparties (31 December 2020: \$74.5m; 30 June 2021: \$25.5m).

Notes to the interim financial statements continued

9. Due to other financial institutions

	Unaudited as at	Unaudited as at	Audited as at
Dollars in millions	31/12/21	31/12/20	30/06/21
Cash collateral received	124	25	26
Transactional balances with other financial institutions	7	7	7
Repurchase agreements	1,589	304	685
Total amounts due to other financial institutions	1,720	336	718
Current	616	336	145
Non-current	1,104	-	573

Funding for lending program

On 11 November 2020, the RBNZ announced a Funding for Lending Program (“**FLP**”) as one of the tools to ‘maintain low and stable inflation and support full employment’. The FLP allows the Bank to borrow directly from the RBNZ at the floating Official Cash Rate (“**OCR**”) for a term of three years and is effective from 7 December 2020 to 6 December 2022.

A total of \$1,209m of residential mortgage-backed securities (“**RMBS**”) has been pledged as approved eligible collateral. As at 31 December 2021, \$1,000m has been drawn down (31 December 2020: \$nil; 30 June 2021: \$500m).

Term lending facility

On 26 May 2020, the RBNZ established a Term Lending Facility (“**TLF**”) to support the functioning of the Business Finance Guarantee Scheme (“**BFGS**”), with financing under the TLF tied to the utilisation of the BFGS. Under the TLF, each eligible counterparty in the BFGS can draw down an amount equivalent to the outstanding BFGS amount for that participant.

A total of \$124m of RMBS has been pledged as approved eligible collateral. As at 31 December 2021, the TLF amounted to \$104m (31 December 2020: \$nil; 30 June 2021: \$73m).

10. Deposits and other borrowings

The Kiwibank PIE Unit Trust (the “**Trust**”), established in May 2008, operates three funds; the PIE Term Deposit Fund, the Notice Saver and PIE Online Call Fund. Kiwibank Investment Management Limited is the Issuer and Manager (the “**Manager**”), Public Trust is the Supervisor and Kiwibank is the Promoter of the Trust. Units in the Trust do not directly represent deposits or liabilities of Kiwibank; however the Trust is invested exclusively in term and call deposits with Kiwibank. At 31 December 2021, \$4,673m of the Trust’s funds were invested in Kiwibank products or securities (31 December 2020: \$4,462m; 30 June 2021: \$4,436m).

Kiwibank guarantees the payment obligations of the Manager and any amounts owing to Unit holders under the Trust Deed in respect of their units. Kiwibank agrees to pay to Unit holders any shortfall between the amount they may receive on redeeming their units or in the winding up of the Trust and the balance of their unit accounts.

	Unaudited as at	Unaudited as at	Audited as at
Dollars in millions	31/12/21	31/12/20	30/06/21
Demand deposits non-interest bearing	5,230	4,121	4,576
Demand deposits bearing interest	6,402	5,711	6,075
Term deposits	12,190	12,059	11,748
Total deposits from customers	23,822	21,891	22,399
Current	23,516	21,512	22,086
Non-current	306	379	313

In the event of the liquidation of Kiwibank, deposit holders will rank equally with all other creditors but ahead of subordinated debt holders, shareholders and holders of perpetual preference shares. In addition, all payment obligations of Kiwibank covered by the NZP Guarantee that existed at the time the NZP Guarantee was terminated on 28 February 2017 are guaranteed under the NZP Guarantee but only to the extent of those obligations.

Notes to the interim financial statements continued

11. Debt securities issued

Dollars in millions	Unaudited as at 31/12/21	Unaudited as at 31/12/20	Audited as at 30/06/21
Short-term debt			
Certificates of deposit	541	499	419
Long-term debt			
Medium term notes	1,638	1,409	1,570
Covered bonds	530	531	536
Fair value hedge adjustment	(15)	37	19
Total debt securities issued	2,694	2,476	2,544
Current	802	850	730
Non-current	1,892	1,626	1,814

The Banking Group has not redeemed any covered bonds during the period ended 31 December 2021 (period ended 31 December 2020: \$240m; year ended 30 June 2021: \$240m). The Banking Group has not issued any covered bonds during the period ended 31 December 2021 (period ended 31 December 2020: \$541m; year ended 30 June 2021: \$541m).

In the event of the liquidation of Kiwibank, holders of these debt securities, with the exception of covered bonds, will rank equally with all other creditors but ahead of subordinated debt holders, shareholders and holders of perpetual preference shares. In addition, all payment obligations of Kiwibank that existed at the time the NZP Guarantee was terminated on 28 February 2017, excluding any payment obligations, the terms of which expressly provide that they do not have the benefit of the guarantee, are guaranteed under the NZP Guarantee.

Further information on the guarantee arrangements and other details relating to covered bonds are disclosed in note 19.

Kiwibank has not had any defaults of principal, interest or other breaches with respect to debt securities issued during the period (period ended 31 December 2020: no defaults; year ended 30 June 2021: no defaults).

Notes to the interim financial statements continued

12. Subordinated debt

	Unaudited as at 31/12/21	Unaudited as at 31/12/20	Audited as at 30/06/21
Dollars in millions			
Perpetual capital bonds	-	150	150
Subordinated notes	257	271	265
Total subordinated debt	257	421	415
Current	-	-	-
Non-current	257	421	415

The Banking Group did not issue subordinated notes during the period ended 31 December 2021 (period ended 31 December 2020: \$275m; year ended 30 June 2021: \$275m).

The Banking Group has not had any defaults of principal, interest or other breaches with respect to subordinated debt during the period (period ended 31 December 2020: no default; year ended 30 June 2021: no default).

As at 31 December 2021, \$275m of subordinated debt qualified as Tier 2 capital for Capital Adequacy calculation purposes (31 December 2020: \$194m; 30 June 2021: \$194m). The subordinated debt instruments on issue do not have the benefit of the NZP Guarantee. The NZP Guarantee was terminated with an effective date of 28 February 2017.

As at 31 December 2021, no subordinated debt qualified as Additional Tier 1 capital for Capital Adequacy calculation purposes (31 December 2020: \$150m; 30 June 2021: \$150m).

The subordinated debt instruments on issue are subordinate to all other general liabilities of the Banking Group and are denominated in New Zealand dollars.

The subordinated debt instruments on issue include terms and conditions as follows:

Instrument	Issue date	Amount (\$m)	Coupon rate	Call date	Maturity date
Subordinated notes	11 December 2020	275	2.36% p.a. ¹	11 December 2025	11 December 2030

¹ Fixed interest rate which will be reset on 11 December 2025.

Perpetual Capital Bonds – Regulatory Event

On 1 October 2021, new Banking Prudential Requirements came into effect which amended the Banking Group's conditions of registration. As a result, a Regulatory Event occurred which entitled Kiwibank to exercise an option to redeem the bonds, subject to certain conditions including RBNZ consent.

In November 2021, the Banking Group exercised the option to repay and repaid \$150m of perpetual capital bonds following the Regulatory Event. The perpetual capital bonds were issued to Kiwi Capital Funding Limited, a subsidiary of KGHL.

Notes to the interim financial statements continued

13. Concentration of funding

Dollars in millions		Unaudited as at 31/12/21
Analysis by industry sector		
New Zealand		
Agriculture		55
Food & other manufacturing		196
Electricity, gas and water		25
Construction		418
Retail and wholesale trade		262
Transport and storage		62
Communications		39
Finance, investment and insurance		5,543
Property and business services		377
Professional, scientific and technical services		427
Government, local authorities and services		556
Education		200
Personal and other services		256
Health and community services		394
Households		18,154
Overseas		
Finance, investment and insurance		1,370
Households		289
Other		42
Total funding		28,665
Lease liabilities		103
Other financial liabilities		34
Total financial liabilities		28,802

Concentrations of funding arise where the Banking Group and Kiwibank are funded by industries of a similar nature or in particular geographies. ANZSIC codes have been used as the basis for disclosing industry sectors in the analysis of financial liabilities by industry sector and geography at the reporting date.

14. Financial instruments

Fair value measurement

Assets and liabilities carried at fair value or for which fair values are disclosed have been classified into three levels according to the quality and reliability of information used to determine the fair values. The three levels of the fair value hierarchy are defined as follows:

- Level 1 – Fair value measurements are those derived from unadjusted quoted prices in active markets for identical assets or liabilities.
- Level 2 – Fair value measurements are those where quoted market prices are not available, for example where the instrument is traded in a market that is not considered to be active or valuation techniques are used to determine fair value and where these techniques use inputs that are based significantly on observable market data.
- Level 3 – Fair value measurements where at least one input which could have a significant effect on the instrument's valuation is not based on observable market data.

Notes to the interim financial statements continued

14. Financial instruments continued

Valuation methodology

The fair values of assets and liabilities carried at fair value were determined by application of the following methods and assumptions.

Investment securities

Estimates of fair value for investment securities are based on quoted market prices (mid-price) or determined using market-accepted valuation models as appropriate (including discounted cash flow models) with inputs including an interest rate yield curve developed from quoted rates and market observable credit spreads.

Derivative financial instruments

Where the Banking Group's derivative financial assets and liabilities are not traded on an exchange, they are valued using valuation techniques, including discounted cash flow and option pricing models, as appropriate. The types of derivatives classified as level 2 and the valuation techniques used include:

- interest rate swaps which are valued using discounted cash flow models; the most significant inputs into those models are interest rate yield curves which are developed from quoted rates; and
- foreign exchange derivatives that do not contain options which are priced using rates available from publicly quoted sources.

Dollars in millions	Unaudited as at 31/12/21			
	Level 1	Level 2	Level 3	Total
Financial assets				
Investment securities	453	1,056	-	1,509
Derivative financial instrument assets	-	270	-	270
Other financial assets	-	-	3	3
Total financial assets at fair value	453	1,326	3	1,782
Financial liabilities				
Derivative financial instrument liabilities	-	168	-	168
Total financial liabilities at fair value	-	168	-	168

Dollars in millions	Unaudited as at 31/12/20			
	Level 1	Level 2	Level 3	Total
Financial assets				
Investment securities	651	959	-	1,610
Derivative financial instrument assets	-	295	-	295
Other financial assets	-	-	2	2
Total financial assets at fair value	651	1,254	2	1,907
Financial liabilities				
Derivative financial instrument liabilities	-	314	-	314
Total financial liabilities at fair value	-	314	-	314

Notes to the interim financial statements continued

14. Financial instruments continued

Dollars in millions	Audited as at 30/06/21			
	Level 1	Level 2	Level 3	Total
Financial assets				
Investment securities	690	1,014	-	1,704
Derivative financial instrument assets	-	228	-	228
Other financial assets	-	-	2	2
Total financial assets at fair value	690	1,242	2	1,934
Financial liabilities				
Derivative financial instrument liabilities	-	195	-	195
Total financial liabilities at fair value	-	195	-	195

There have been no transfers between levels 1 and 2 during the period ended 31 December 2021 (period ended 31 December 2020: no transfers; year ended 30 June 2021: no transfers). There were also no transfers into/out of level 3 during the period ended 31 December 2021 (period ended 31 December 2020: no transfers; year ended 30 June 2021: no transfers).

Dollars in millions	Unaudited as at 31/12/21		Unaudited as at 31/12/20		Audited as at 30/06/21	
	Carrying amount	Estimated fair value	Carrying amount	Estimated fair value	Carrying amount	Estimated fair value
Assets						
Due from related parties	76	76	81	81	77	77
Investment securities	1,509	1,509	1,610	1,610	1,704	1,704
Derivative financial instruments	270	270	295	295	228	228
Loans and advances	27,103	26,931	23,809	23,874	25,207	25,182
Liabilities						
Due to related parties	4	4	3	3	6	6
Derivative financial instruments	168	168	314	314	195	195
Deposits and other borrowings	23,822	23,825	21,891	21,920	22,399	22,411
Debt securities issued	2,694	2,714	2,476	2,508	2,544	2,570
Subordinated debt	257	260	421	426	415	427

The carrying values of the following financial instruments are considered a reasonable approximation of fair value because they are short-term in nature or reprice to current market rates frequently: cash and cash equivalents, due from other financial institutions, other financial assets, due to other financial institutions, and other financial liabilities. No fair value disclosures are required for lease liabilities; therefore, they are excluded from the table above.

Notes to the interim financial statements continued

15. Intangible assets

Dollars in millions	Internally developed				
	Unaudited as at 31/12/21			Unaudited as at 31/12/20	Audited as at 30/06/21
	Computer software	Computer software work in progress	Total	Total	Total
Cost at beginning of period	266	10	276	272	272
Accumulated amortisation at beginning of period	(226)	-	(226)	(212)	(212)
Carrying value at beginning of period	40	10	50	60	60
Additions & Transfers	2	3	5	10	15
Amortisation	(10)	-	(10)	(10)	(25)
Amortisation released on write-off, disposal or retirement	-	-	-	-	11
Amounts written off, disposed of or retired	-	(1)	(1)	-	(11)
Carrying value at end of period	32	12	44	60	50
Cost at end of period	268	12	280	282	276
Accumulated amortisation at end of period	(236)	-	(236)	(222)	(226)
Carrying value at end of period	32	12	44	60	50

Intangible assets are assessed for impairment on at least an annual basis and whenever events or changes in circumstances indicate that the carrying amount of intangible assets may exceed their recoverable amount. Any impairment loss or write-off is recognised in the income statement as an operating expense. During the six months to 31 December 2021, Management considers there to be no indicators of impairment.

16. Perpetual preference shares



Accounting policy

Perpetual preference shares are recognised at the amount paid up per ordinary share, net of directly attributable issue costs.

On 2 November 2021, Kiwibank issued 250 million perpetual preference shares. The purpose of this issuance was to meet RBNZ Banking Prudential Requirements as the perpetual preference shares qualify as Additional Tier 1 capital for Capital Adequacy calculation purposes.

Dollars in millions	Unaudited as at 31/12/21	Unaudited as at 31/12/20	Audited as at 30/06/21
Issuance of perpetual preference shares	250	-	-
Less: Transaction costs	(4)	-	-
Total perpetual preference shares	246	-	-

Perpetual preference shares

The total authorised number of perpetual preference shares in Kiwibank at the reporting date was 250 million (period ended 31 December 2020: nil; year ended 30 June 2021: nil). All issued perpetual preference shares are fully paid and do not carry any voting rights. The perpetual preference shares are classified as equity instruments as there is no contractual obligation for Kiwibank to either deliver cash or another financial instrument or to exchange financial instruments on a potentially unfavourable basis.

Distributions are payable quarterly at the discretion of the Directors of Kiwibank and are non-cumulative. Kiwibank must not resolve to pay any dividend or make any other distribution on its ordinary shares until the next preference distribution payment date if the Directors elect not to pay a distribution on the perpetual preference shares. Should Kiwibank elect to pay a distribution, the distribution is payable at 4.93% per annum (the distribution rate will be reset on 5-yearly intervals).

Notes to the interim financial statements continued

17. Dividends paid

During the period ended 31 December 2021, Kiwibank paid ordinary dividends of \$5.6m to KGHL (period ended 31 December 2020: \$nil; year ended 30 June 2021: \$5.6m).

Restriction of payment of dividends

On 2 April 2020, the RBNZ amended the Bank's conditions of registration to restrict the Bank from making distributions of dividends on ordinary shares in line with changes for all locally incorporated banks in New Zealand during the period of economic uncertainty caused by COVID-19. On 31 March 2021, the RBNZ announced the easing of the dividend restrictions allowing banks to pay up to 50% of earnings from the most recently completed financial year as dividends to their shareholders. The 50% dividend restriction will stay in place until 1 July 2022 when the RBNZ intends to remove the restriction entirely (subject to no significant worsening in economic conditions).

The payment of discretionary sums payable to holders of Additional Tier 1 capital instruments is excluded from this restriction.

18. Related entities

Kiwibank has a loan agreement with KGHL. The loan is available provided that the Banking Group does not exceed credit exposure to connected persons of 15% of Tier 1 capital, as required in Kiwibank's banking conditions of registration. The loan is on no more favourable terms than corresponding exposures to non-connected persons. As at 31 December 2021, the balance owed by KGHL to the Banking Group was \$75.5m (31 December 2020: \$75.5m; 30 June 2021: \$75.5m).

Transactions with related entities are consistent with those disclosed in the Banking Group's annual financial statements for the year ended 30 June 2021.

The table below shows balances outstanding at the reporting date with NZP, KGHL and other subsidiaries within the KGHL Group, ACC, NZSF, and Guardians of New Zealand Superannuation.

	Unaudited as at 31/12/21	Unaudited as at 31/12/20	Audited as at 30/06/21
Dollars in millions			
Outstanding balances			
Due to related parties	4	3	6
Included in deposits and other borrowings	130	284	278
Included in debt securities issued	39	9	9
Included in subordinated debt	-	150	150
Included in other liabilities (lease liabilities)	-	1	-
Total amounts due to related parties	173	447	443
Receivables			
Due from related parties	76	81	77
Included in other assets (right-of-use assets)	-	1	-
Total amounts due from related parties	76	82	77

Notes to the interim financial statements continued

19. Fiduciary activities, securitisation and funds under management

Insurance business

The Banking Group does not conduct any insurance business.

Marketing and distribution

The Banking Group markets and distributes life, business and other personal insurance products provided by or arranged through a number of insurance partners. The Banking Group's insurance partners are:

- The Holland Insurance Company Pty Limited for house, contents, and car insurance;
- Tower Insurance Limited for travel insurance;
- Kiwi Insurance Limited for life insurance; and
- Business insurance is administered by Aon New Zealand and underwritten by AIG.

Securitised assets

The Banking Group has an internal RMBS facility and a covered bond programme.

Funds management

A subsidiary of Kiwibank also acts as the manager for the Kiwibank PIE Unit Trust. These funds are invested in products of Kiwibank and are recorded as liabilities in the balance sheet (see Note 10). At 31 December 2021, \$4,673m of the funds under management were invested in Kiwibank's own products or securities (31 December 2020: \$4,462m; 30 June 2021: \$4,436m).

Provision of financial services

Financial services provided by Kiwibank to entities which are involved in trust, custodial, funds management and other fiduciary activities are at fair value, except that Kiwibank does not charge Kiwibank Investment Management Limited, the manager of the Kiwibank PIE Unit Trust, any bank fees. Further, the Kiwibank PIE Unit Trust bank account used for tax payments does not earn interest.

The Banking Group has not provided any funding to entities which conduct the following activities during the period or years ended 31 December 2021 and 30 June 2021:

- trust, custodial, funds management or other fiduciary activities established, marketed and/or sponsored by a member of the Banking Group; and
- marketing and distribution of insurance products.

Risk management

With regard to the activities identified above, the Banking Group has in place policies and procedures to ensure that those activities are conducted in an appropriate manner. Should adverse conditions arise, it is considered that these policies and procedures will minimise the possibility that these conditions will adversely impact the Banking Group. The policies and procedures include comprehensive and prominent disclosure of information regarding products, and formal and regular review of operations and policies by management and auditors.

Kiwi Covered Bond Trust

On 23 January 2013, the Kiwi Covered Bond Trust (the "**Covered Bond Trust**") was established to hold Kiwibank housing loans and to provide guarantees to certain debt securities issued by the Banking Group. Guarantees provided by Kiwi Covered Bond Trustee Limited, as Trustee of the Covered Bond Trust, have a priority claim over the assets of the Covered Bond Trust. Since 19 February 2013, selected Kiwibank housing loans have been transferred to the Covered Bond Trust in order to facilitate the Bank's covered bond programme. These assets do not qualify for derecognition as the Banking Group retains a continuing involvement and retains substantially all the risks and rewards of ownership of the transferred assets. The Covered Bond Trust is consolidated within the Banking Group.

Substantially all of the assets of the Covered Bond Trust comprise housing loans originated by Kiwibank which are security for the guarantee of issuances of covered bonds by the Banking Group, provided by Kiwi Covered Bond Trustee Limited as Trustee of the Covered Bond Trust.

The assets of the Covered Bond Trust are not available to creditors of Kiwibank, although the Banking Group (or its liquidator or statutory manager) may have a claim against the residual assets of the Covered Bond Trust (if any) after all prior ranking creditors of the Covered Bond Trust have been satisfied.

The carrying value of the Covered Bond Trust pool at 31 December 2021 was \$700m (31 December 2020: \$1,000m; 30 June 2021: \$700m). These securities are ring fenced to ensure they are not used as collateral outside of agreements established in relation to the Covered Bond Trust.

Notes to the interim financial statements continued

19. Fiduciary activities, securitisation and funds under management continued

Kiwibank RMBS Trust Series 2009-1

In May 2008 the RBNZ expanded the range of acceptable collateral that banks can pledge and borrow against as part of changes to its liquidity management programme, designed to ensure adequate liquidity for New Zealand financial institutions. The expanded collateral criteria include the use of a pool of individual residentially-secured mortgages (loans and advances) that are aggregated together to form a residential mortgage-backed security.

The purpose of the Kiwibank RMBS Trust Series 2009-1 (the “**RMBS Trust**”) is to provide an internal RMBS facility to issue securities to Kiwibank to use as collateral for borrowing from the Reserve Bank of New Zealand. These securities are ring-fenced to ensure they are not used as collateral outside of agreements established with the RMBS Trust. As at 31 December 2021, included within Loans and advances to customers on the Banking Group’s consolidated balance sheet were housing loans with a carrying value of \$4,250m held by the RMBS Trust (31 December 2020: \$3,500m; 30 June 2021: \$3,500m). These housing loans do not qualify for derecognition as the Bank retains substantially all of the risks and rewards of ownership. The RMBS Trust is consolidated within the Banking Group.

20. Segment analysis

For the purposes of determining reportable operating segments, the chief operating decision-maker has been identified as the Kiwibank Executive Committee (“**EXCO**”), which consists of the Chief Executive and his direct reports. The EXCO reviews the Banking Group’s internal reporting pack on a regular basis to assess performance and to allocate resources. A reportable operating segment is a distinguishable part of the Banking Group, engaged in providing products and services which are subject to risks and returns that are different from those of other segments. The business segments are defined by the customers they service and the services they provide.

The EXCO assesses the performance of the operating segments based on a measure of profit before tax. This measurement basis includes a reallocation of internal overhead expenses from non-income generating cost centres of the business. Net interest income at a segmental level includes an allocation for internal transfer pricing which eliminates to zero at a Banking Group level. Transfer pricing is allocated on a basis which reflects intersegment funding arrangements.

A summarised description of each business unit is shown below:

- Personal – provides banking products and services to the personal banking segment.
- Business – provides banking products and services to the business sector. Included within the segment are Business and Treasury services.

The basis of segmentation in the preparation of the financial statements are consistent with those followed in the preparation of the Banking Group’s annual financial statements for the year ended 30 June 2021.

Dollars in millions	Unaudited 6 months ended 31/12/21		
	Personal	Business	Total
Net interest income	195	103	298
Net gains on financial instruments	1	8	9
Other operating income	17	4	21
Total segmental revenue	213	115	328
Operating expenses	(185)	(47)	(232)
Profit before credit impairment and taxation	28	68	96
Credit impairment reversal/(losses)	2	(9)	(7)
Profit before taxation	30	59	89

Notes to the interim financial statements continued

20. Segment analysis continued

Dollars in millions	Unaudited 6 months ended 31/12/20		
	Personal	Business	Total
Net interest income	152	98	250
Net gains on financial instruments	(1)	5	4
Other operating income ¹	17	5	22
Total segmental revenue	168	108	276
Operating expenses ¹	(147)	(51)	(198)
Profit before credit impairment and taxation	21	57	78
Credit impairment reversal/(losses)	2	(2)	-
Profit before taxation	23	55	78

¹ In the 30 June 2021 audited financial statements, the Banking Group renamed 'Net fee and other income' to 'Other operating income', and reclassified certain operating expenses to direct fee expenses or to net amounts against gross revenue within 'Other operating income'. Amounts for the six months ended 31 December 2020 have been reclassified as follows to align with the current period's presentation: 'Operating expenses' and 'Other operating income' have decreased by \$11m.

Segment analysis for 31 December 2020 comparatives above have been restated to align with the current period presentation.

Dollars in millions	Audited year ended 30/06/21		
	Personal	Business	Total
Net interest income	334	194	528
Net gains on financial instruments	(1)	9	8
Other operating income	29	12	41
Total segmental revenue	362	215	577
Operating expenses	(313)	(109)	(422)
Profit before credit impairment and taxation	49	106	155
Credit impairment reversal/(losses)	20	(1)	19
Profit before taxation	69	105	174

21. Risk management

There have been no material changes to the Banking Group's policies for managing risk, or material exposures to new categories of risk since 30 June 2021.

Notes to the interim financial statements continued

22. Liquidity

Liquid assets portfolio

The Banking Group holds a diversified portfolio of high-quality liquid securities to support its liquidity risk management. The size of the Banking Group's liquidity portfolio is based on the amount required to meet its liquidity policy and includes items both classified as cash and cash equivalents and those classified as operating assets in the consolidated cash flow statement. Amounts below are presented net of any appropriate haircut where applicable.

Dollars in millions	Unaudited as at 31/12/21
Cash, balances with central bank, and certain foreign currency deposits	1,473
Certificates of deposit	72
Government bonds and treasury bills	61
Local body stock and bonds	192
Supranational bonds	575
Other bonds	137
Total	2,510

The Bank also held unencumbered internal residential mortgage-backed securities which would entitle the Banking Group to enter into repurchase transactions with a value of NZ\$2,225m at 31 December 2021 (31 December 2020: \$2,710m, 30 June 2021: \$2,163m).

Maturity analysis of financial liabilities

The following table presents the Banking Group's cash flows for financial liabilities by remaining contractual maturities at the reporting date. The amounts disclosed in the table are the contractual undiscounted cash flows and include principal and future interest cash flows, therefore may not agree to the carrying values reported on the balance sheet.

Notes to the interim financial statements continued

22. Liquidity continued

The Banking Group does not manage its liquidity risk on the basis of the information provided in the table below.

Dollars in millions	Unaudited as at 31/12/21						Carrying amount
	On demand	Up to 3 months	3 to 12 months	Between 1 and 5 years	More than 5 years	Gross nominal inflow/ outflow	
Non-derivative cash flows							
Financial Liabilities							
Due to other financial institutions	(613)	(3)	-	(1,117)	-	(1,733)	(1,720)
Due to related parties	(4)	-	-	-	-	(4)	(4)
Deposits and other borrowings	(12,022)	(4,033)	(6,191)	(1,636)	-	(23,882)	(23,822)
Debt securities issued	(40)	(360)	(444)	(1,809)	(298)	(2,951)	(2,694)
Other financial liabilities	(34)	-	-	-	-	(34)	(34)
Lease liabilities	-	(4)	(10)	(39)	(50)	(103)	(103)
Subordinated debt	-	(2)	(5)	(294)	-	(301)	(257)
Total	(12,713)	(4,402)	(6,650)	(4,895)	(348)	(29,008)	(28,634)
Derivative cash flows - net							
Interest rate derivatives	(2)	3	34	60	(1)	94	
Total	(2)	3	34	60	(1)	94	
Derivative cash flows - gross							
Foreign exchange derivatives							
Inflow	201	247	405	1,120	298	2,271	
Outflow	(204)	(247)	(418)	(1,102)	(293)	(2,264)	
Total	(3)	-	(13)	18	5	7	
Off balance sheet cash flows							
Capital commitments	-	(5)	-	-	-	(5)	
Undrawn credit commitments	(4,633)	-	-	-	-	(4,633)	
Total	(4,633)	(5)	-	-	-	(4,638)	

Notes to the interim financial statements continued

23. Interest repricing

Dollars in millions	Unaudited as at 31/12/21						
	Total	Non-interest bearing	Up to 3 months	3 to 6 months	6 months to 1 year	Between 1 and 2 years	Over 2 years
Financial assets							
Cash and cash equivalents	1,547	80	1,467	-	-	-	-
Due from related parties	76	-	76	-	-	-	-
Due from other financial institutions	200	97	103	-	-	-	-
Investment securities	1,509	-	152	10	10	190	1,147
Derivative financial instruments	270	270	-	-	-	-	-
Loans and advances	27,103	47	8,084	3,109	4,264	7,106	4,493
Other financial assets	26	26	-	-	-	-	-
Total financial assets	30,731	520	9,822	3,119	4,274	7,296	5,640
Financial liabilities							
Due to other financial institutions	(1,720)	(7)	(1,616)	(50)	(47)	-	-
Due to related parties	(4)	(4)	-	-	-	-	-
Deposits and other borrowings	(23,822)	(5,230)	(13,368)	(3,115)	(1,752)	(211)	(146)
Derivative financial instruments	(168)	(168)	-	-	-	-	-
Debt securities issued	(2,694)	-	(1,027)	(55)	(251)	(243)	(1,118)
Other financial liabilities	(34)	(34)	-	-	-	-	-
Lease liabilities	(103)	(103)	-	-	-	-	-
Subordinated debt	(257)	-	-	-	-	-	(257)
Total financial liabilities	(28,802)	(5,546)	(16,011)	(3,220)	(2,050)	(454)	(1,521)
On-balance sheet gap	1,929	(5,026)	(6,129)	(101)	2,224	6,842	4,119
Net derivative notional principals	9	-	7,397	403	(1,992)	(4,985)	(814)
Net effective interest rate gap	1,938	(5,026)	1,268	302	232	1,857	3,305

The table above summarises the Banking Group's exposure to interest rate risk. It includes financial instruments at their carrying amounts, categorised by the earlier of contractual repricing or maturity dates. The fair value adjustment on the revaluation of financial instruments is categorised in the appropriate repricing category.

24. Capital expenditure commitments

Capital expenditure commitments contracted for as at 31 December 2021, but not provided for in these financial statements, total \$4.7m (31 December 2020: \$3.1m; 30 June 2021: \$4.6m). \$4.7m of the total amount is due within 12 months.

Notes to the interim financial statements continued

25. Contingent liabilities and credit commitments

Contingent liabilities

Compliance, regulation and remediation

The Banking Group is subject to regulatory oversight and also regularly assesses compliance with product terms and conditions and relevant legislation to identify any potential remediation claims in relation to the provision of services to customers. A contingent liability may exist, in respect of actual or potential claims, where the law is uncertain, or the potential liability cannot accurately be determined. All potential remediation claims are assessed on a case-by-case basis. Where the Banking Group has carried out an assessment of likely loss, and, where it can be reliably estimated, an appropriate provision is recognised. Any material claim that has not yet met the conditions to be recognised is disclosed as a contingent liability.

There are no pending legal proceedings or arbitration concerning Kiwibank or any member of the Banking Group, that may have a material adverse effect on Kiwibank or the Banking Group.

Undrawn credit commitments as at the reporting date are as follows:

	Unaudited as at	Unaudited as at	Audited as at
Dollars in millions	31/12/21	31/12/20	30/06/21
Letters of credit and performance-related contingencies	70	49	60
Loan commitments	4,563	3,914	4,261
Total undrawn credit commitments	4,633	3,963	4,321

26. Events subsequent to the reporting date

There were no material events that occurred subsequent to the reporting date that require recognition or additional disclosure in these financial statements.

Capital adequacy and regulatory liquidity ratios

Unaudited

The “**Banking Group**” consists of Kiwibank Limited (“**Kiwibank**” or the “**Bank**”) and its subsidiaries. The Banking Group is subject to the capital adequacy requirements for registered banks as specified by the Reserve Bank of New Zealand (“**RBNZ**”). The RBNZ has set minimum acceptable regulatory capital requirements that are consistent with the internationally agreed framework developed by the Basel Committee on Banking Supervision.

The Bank must comply with RBNZ minimum capital adequacy ratios, calculated in accordance with the RBNZ Banking Prudential Requirements (“**BPR**”) documents as determined in its conditions of registration.

Ordinary shares

The ordinary shares issued by the Bank, which are fully paid, are included within CET1 capital. The material terms and conditions of the ordinary shares are:

- a) each share contains a single right to vote;
- b) there are no redemption, conversion or capital repayment options/facilities;
- c) there is no predetermined dividend rate;
- d) there is no maturity date;
- e) there are no options to be granted pursuant to any agreement; and
- f) ordinary shares rank equally to dividends and any surpluses on winding up.

Perpetual preference shares

The perpetual preference shares, issued by the Bank on 2 November 2021, which are fully paid, are included within Additional Tier 1 capital. The material terms and conditions of the perpetual preference shares are:

- a) the perpetual preference shares have no voting rights;
- b) distributions are payable quarterly in arrears, subject to the absolute discretion of Kiwibank. The distribution rate is initially fixed for a period of 5 years at the swap rate on the rate set date, being 2 November 2021, plus a margin. The distribution rate will be reset on 5-yearly intervals;
- c) if for any reason a distribution is not paid in full on a distribution payment date, Kiwibank must not make any distributions or payments on or issue any bonus securities in respect of its ordinary shares;
- d) distributions are non-cumulative;
- e) the perpetual preference shares do not have a maturity date, however, Kiwibank may elect to make early repayment on 2 November 2026 or any optional redemption date thereafter (optional redemption dates occur at 5-yearly intervals) or if a tax or regulatory event has occurred (as described in the Deed Poll);
- f) perpetual preference shares rank equally with other preference shares and ahead of ordinary shares, dividends and any surpluses on winding up; and
- g) the perpetual preference shares are not guaranteed by any member of the Banking Group, Kiwibank’s parent companies (including New Zealand Post), the Crown or by any other person.

Subordinated notes

The subordinated notes, issued by the Bank on 11 December 2020, which are fully paid, are included within Tier 2 capital. The subordinated notes are subordinate to all other general liabilities of the Banking Group and are denominated in New Zealand dollars. The terms and conditions include:

- a) the subordinated notes constitute direct, unsecured subordinated debt obligations of Kiwibank;
- b) the subordinated notes pay interest quarterly in arrear at an initial rate of 2.36% p.a. subject to the condition that Kiwibank and the Banking Group is solvent after each payment;
- c) unpaid interest accumulates;
- d) the subordinated notes have no voting rights;
- e) the subordinated notes may be written off in certain circumstances;
- f) the subordinated notes have a maturity date of 11 December 2030, however, Kiwibank may elect to make early repayment on 11 December 2025 or any quarterly interest payment date thereafter; and
- g) the subordinated notes are not guaranteed by any member of the Banking Group, Kiwibank’s parent companies (including New Zealand Post), the Crown or by any other person.

Perpetual capital bonds

In November 2021, the Banking Group exercised the option to repay and repaid \$150m of perpetual capital bonds. For their material terms and conditions, refer to the June 2021 Kiwibank Disclosure Statement.

Capital adequacy and regulatory liquidity ratios continued

Unaudited

Risk-weighted exposures

Risk-weighted exposures are derived by assigning risk-weight percentages to certain material risk categories of exposures. These exposures are measured or estimated from: selected balance sheet assets; off-balance-sheet exposures and market contracts; and business unit net income.

The Bank's current Prudential capital requirements based on assessments of its material risk classes (commonly referred to as "Pillar I" risk classes under Basel III) can be summarised as follows:

- Credit risk – The vulnerability of the Banking Group's lending and investment portfolios to systemic counterparty default. The risk-based capital allocation is computed in accordance with RBNZ BPR130, BPR131, BPR132 and BPR160.
- Market risk – The vulnerability of earnings to movements in interest rates, equity prices and currency volatility. The risk-based capital allocation is computed in accordance with RBNZ BPR140.
- Operational risk – The risk of loss, resulting from inadequate or failed internal processes (including legal risks), people and systems and from external events. The risk-based capital allocation is computed in accordance with RBNZ BPR150.

Kiwibank's Board is ultimately responsible for capital adequacy and approves capital plans and establishes minimum internal capital levels and limits. These are higher than the regulatory minimum.

The capital adequacy tables on the following pages summarise the composition of regulatory capital and capital adequacy ratios for the period ended 31 December 2021. Throughout the period, Kiwibank and the Banking Group complied with regulatory capital adequacy requirements.

Regulatory capital ratios

	Regulatory Minima	The Banking Group		
		31/12/21	31/12/20	30/06/21
Capital adequacy ratios				
Common Equity Tier 1 capital ratio	4.5%	10.4%	10.9%	10.9%
Tier 1 capital ratio	6.0%	12.0%	12.0%	11.9%
Total capital ratio	8.0%	13.7%	13.3%	13.2%
Prudential capital buffer ratio		5.7%	5.3%	5.2%
Buffer trigger ratio		2.5%	2.5%	2.5%

	Kiwibank Limited		
	31/12/21	31/12/20 ¹	30/06/21
Capital adequacy ratios			
Common Equity Tier 1 capital ratio	10.4%	10.3%	10.9%
Tier 1 capital ratio	12.0%	11.3%	11.9%
Total capital ratio	13.7%	12.5%	13.2%

¹ When calculating the current period's Kiwibank Limited solo capital ratios, the Bank has applied a clarification of the scope of the entities consolidated within the solo calculation contained within BPR100 Capital Adequacy. The effect was to consolidate Kiwibank's internal RMBS Trust. The ratios for the period ended 31 December 2020 have not been updated to reflect this clarification.

Capital adequacy and regulatory liquidity ratios continued

Unaudited

Regulatory capital

The following table shows the qualifying capital for the Banking Group.

Dollars in millions	The Banking Group		
	31/12/21	31/12/20	30/06/21
Common Equity Tier 1 capital			
Issued and fully paid up share capital	737	737	737
Retained earnings (net of appropriations)	1,022	905	967
Accumulated other comprehensive income and other disclosed reserves ^{1,2}	64	2	20
Less deductions from Common Equity Tier 1 capital			
Intangible assets	(44)	(60)	(50)
Cash flow hedge reserve ²	(95)	17	(19)
Deferred tax assets	(34)	(33)	(19)
Total Common Equity Tier 1 capital	1,650	1,568	1,636
Additional Tier 1 capital			
Perpetual preference shares ³	246	-	-
Perpetual capital bonds ⁴	-	150	150
Total Additional Tier 1 capital	246	150	150
Total Tier 1 capital	1,896	1,718	1,786
Tier 2 capital			
Subordinated debt ⁵	272	194	195
Total Tier 2 capital	272	194	195
Total capital	2,168	1,912	1,981

¹ Includes fair value reserve of (\$31m). The fair value reserve includes the cumulative net change in the fair value of investment securities until the investment is derecognised or impaired.

² Includes cash flow hedge reserve of \$95m. The cash flow hedging reserve comprises the effective portion of the cumulative net change in the fair value of foreign exchange and interest rate derivative contracts related to hedged forecasted transactions that have not yet occurred. The cash flow hedge reserve is not eligible for inclusion in capital under BPR110 B1.8.

³ Perpetual preference shares issued by Kiwibank Limited are classified as equity of the Banking Group for financial reporting purposes.

⁴ Perpetual capital bonds that were issued by Kiwibank Limited were classified as debt of the Banking Group for financial reporting purposes.

⁵ The increase in balance as at 31 December 2021 is due to the tax haircut, which was previously applicable under BS2A, no longer being required due to the contractual cancellation of the instrument's write-off provisions with the implementation of the new capital framework from October 2021.

Capital adequacy and regulatory liquidity ratios continued

Unaudited

On-balance sheet exposures

Dollars in millions	31/12/21			
	Total exposure after credit risk mitigation	Risk weight	Risk weighted exposure	Minimum Pillar I capital requirement
On-balance sheet exposures				
Cash and gold bullion	80	0%	-	-
Sovereigns and central banks	1,832	0%	-	-
Multilateral development banks and other international organisations	537	0%	-	-
Public sector entities	45	20%	9	1
	-	100%	-	-
Banks	191	20%	38	3
	225	50%	112	9
Corporate	342	20%	68	5
	17	50%	9	1
	2,737	100%	2,737	219
Residential mortgages not past due				
Non-property investment residential mortgage loans				
<= 80% loan to value ratio ("LVR")	13,525	35%	4,734	379
80 <= 90% LVR	1,233	50%	616	49
90 <= 100% LVR	30	75%	23	2
> 100% LVR	208	100%	208	17
Non-property investment residential mortgage loans - First Home loans and lenders mortgage insured loans				
<= 80% LVR	287	35%	100	8
80 <= 90% LVR	204	35%	71	6
90 <= 100% LVR	58	50%	29	2
> 100% LVR	1	100%	1	-
Property investment residential mortgage loans				
<= 80% LVR	8,105	40%	3,242	259
80 <= 90% LVR	90	70%	63	5
90 <= 100% LVR	51	90%	46	4
> 100% LVR	49	100%	49	4
Property investment residential mortgage loans - lenders mortgage insured loans				
<= 80% LVR	22	40%	9	1
80 <= 90% LVR	1	50%	-	-
Impaired assets	-	100%	-	-
Past due residential mortgages greater than 90 days	10	100%	10	1
Other past due assets	1	100%	1	-
Other past due assets	1	150%	2	-
Non-risk-weighted assets	444	0%	-	-
All other equity holdings (not deducted from capital)	1	400%	4	-
Other assets	643	100%	643	51
Total on-balance sheet exposures	30,970		12,824	1,026

Capital adequacy and regulatory liquidity ratios continued

Unaudited

Off-balance sheet exposures and counterparty credit risk exposures

Dollars in millions	31/12/21					
	Total exposure	Credit conversion factor	Credit equivalent amount	Average risk weight	Risk weighted exposure	Minimum Pillar I capital requirement
Direct credit substitute	49	100%	49	99%	49	4
Performance-related contingency	21	50%	11	100%	11	1
Other commitments where original maturity is greater than one year	1,485	50%	742	68%	503	40
Other commitments where original maturity is less than or equal to one year	1,811	20%	362	38%	139	11
Other commitments that cancel automatically when the creditworthiness of the counterparty deteriorates or that can be cancelled unconditionally at any time without prior notice	1,258	0%	-	-	-	-
Counterparty credit risk: ¹						
(a) Foreign exchange contracts	2,100	n/a	115	45%	52	4
(b) Interest rate contracts	29,296	n/a	301	23%	69	6
(c) Credit Valuation Adjustment					104	8
Total off-balance sheet exposures	36,020		1,580		927	74

¹ The credit equivalent amount for market related contracts was calculated using the current exposure method.

Total exposure amounts in the table above are disclosed net of credit impairment provisions.

Residential mortgages by loan-to-value ratio

Dollars in millions	31/12/21		
	On-balance sheet	Off-balance sheet	Total
LVR 0% - 80%	21,949	697	22,646
LVR 80% - 90%	1,528	34	1,562
LVR 90% +	397	52	449
Total	23,874	783	24,657

The LVR classification above is calculated in compliance with the RBNZ Orders in Council. The off-balance sheet amounts disclosed in the table above are credit equivalent amounts disclosed net of the relevant credit conversion factor.

At 31 December 2021, of the loans with an LVR greater than 80%, \$263m (31 December 2020: \$343m, 30 June 2021: \$305m) relates to loans with mortgage insurance or 'First Home' loans, whose credit risk is mitigated by the New Zealand Crown (via underwriting by Housing New Zealand Corporation).

Capital adequacy and regulatory liquidity ratios continued

Credit risk mitigation

Dollars in millions	31/12/21			
	Total value of on- and off-balance sheet exposures covered by eligible collateral (after haircutting)	Total value of on- and off-balance sheet exposures covered by guarantees or credit derivatives	Risk weighted exposure	Minimum Pillar I capital requirement
Bank	(30,811)	-	(153)	(12)
	(30,811)	-	(153)	(12)

The Banking Group uses the comprehensive method to measure the mitigating effects of collateral.

Operational risk

Dollars in millions	31/12/21	
	Implied risk weighted exposure	Total operational risk capital requirement
Operational risk	1,698	136

Market risk

Dollars in millions	31/12/21			
	Implied risk weighted exposure		Aggregate capital charge	
	End of period	Peak end-of-day	End of period	Peak end-of-day
Interest rate risk	544	660	44	53
- of which relates to trading book	17	29	1	2
Foreign currency risk	14	23	1	2
Equity risk	1	1	-	-

The aggregate market risk exposure above is derived in accordance with RBNZ BPR140.

The peak end-of-day aggregate capital charge is the maximum over the half year accounting period at the close of each business day for each market risk category.

Capital adequacy and regulatory liquidity ratios continued

Unaudited

Total capital requirements

Dollars in millions	31/12/21		
	Total exposure after credit risk mitigation	Risk weighted exposure or implied risk weighted exposure	Total capital requirement
Total credit risk plus equity	36,179	13,598	1,088
Operational risk	n/a	1,698	136
Market risk	n/a	559	45
Total Pillar I risk	n/a	15,855	1,269

Other material risk (Pillar II)

The Basel III capital adequacy regime intends to ensure that banks have adequate capital to support all material risk inherent in their business activities. Consequently, banks are required to maintain an ICAAP for assessing overall capital adequacy in relation to their risk profile. Kiwibank's ICAAP methodology requires it to hold capital against the following "other material risks" (Pillar II risks), including:

- Earnings risk – The current or prospective risk to earnings and growth targets arising from changes in the business environment and from adverse business decisions, improper implementation of decisions or lack of responsiveness to changes in the business environment.
- Other risks – Including conduct and culture, project execution, and cyber risks.

The Bank has made an internal capital allocation of \$58m (31 December 2020: \$54m; 30 June 2021: \$58m).

Regulatory liquidity ratios

The Bank calculates regulatory liquidity ratios in accordance with the RBNZ's 'Liquidity Policy' (BS13). Ratios are calculated daily and the quarterly average of the daily ratios are disclosed below.

	Three months ended 31/12/21	Three months ended 30/9/21
Average one-week mismatch ratio	8.6%	7.8%
Average one-month mismatch ratio	8.3%	7.9%
Average core funding ratio	90.2%	89.4%



Independent auditor's review report

To the readers of Kiwibank Limited's Disclosure Statement for the six months ended 31 December 2021 (the "Disclosure Statement")

This report is for the Banking Group, comprising Kiwibank Limited (the "Bank"), its New Zealand domiciled subsidiaries, and the other entities it controlled at 31 December 2021 or from time to time during the six months ended on that date.

The Auditor-General is the auditor of the Bank and the Banking Group. The Auditor-General has appointed me, Jonathan Freeman, using the staff and resources of PricewaterhouseCoopers, to carry out a review of the interim financial statements and supplementary information included in the Disclosure Statement of the Banking Group, on his behalf.

Report on the interim financial statements and supplementary information

Our conclusion

We have reviewed the:

- condensed interim financial statements (the "interim financial statements") of the Banking Group on pages 5 to 43, which comprise the balance sheet as at 31 December 2021, and the income statement, the statement of comprehensive income, the statement of changes in equity and the cash flow statement for the six months ended on that date, and the notes including a summary of significant accounting policies and other explanatory information; and
- supplementary information as required by Schedules 5, 7, 9, 13, 16 and 18 of the Registered Bank Disclosure Statements (New Zealand Incorporated Registered Banks) Order 2014 (as amended) (the "Order") for the six months ended 31 December 2021 (the "supplementary information") and included in the balance sheet, notes 2, 3, 4, 5, 6, 7, 13, 19, 21, 22 and 23 of the interim financial statements and on pages 44 to 50.

We have examined the interim financial statements and supplementary information and based on our review, nothing has come to our attention that causes us to believe that:

- the accompanying interim financial statements (excluding the supplementary information) of the Banking Group have not been prepared, in all material respects, in accordance with International Accounting Standard 34 *Interim Financial Reporting* (IAS 34) and New Zealand Equivalent to International Accounting Standard 34 *Interim Financial Reporting* (NZ IAS 34);
- the supplementary information that is required to be disclosed under Schedules 5, 7, 13, 16 and 18 of the Order, does not fairly state the matters to which it relates in accordance with those schedules; and
- the supplementary information relating to capital adequacy and regulatory liquidity requirements that is required to be disclosed under Schedule 9 of the Order, is not, in all material respects, disclosed in accordance with Schedule 9 of the Order.

Basis for conclusion

We conducted our review in accordance with the New Zealand Standard on Review Engagements 2410 (Revised) *Review of Financial Statements Performed by the Independent Auditor of the Entity* (NZ SRE 2410 (Revised)). Our responsibility is further described in the *Auditor's responsibility for the review of the interim financial statements and supplementary information* section of our report.

We are independent of the Banking Group in accordance with the Auditor-General's ethical requirements relating to the audit of the annual financial statements, which incorporate Professional and Ethical Standard 1: *International Code of Ethics for Assurance Practitioners (including International Independence Standards) (New Zealand)* issued by the New Zealand Auditing and Assurance Standards Board. We have fulfilled our other ethical responsibilities in accordance with these requirements.

In addition to the audit of the annual financial statements and this review, our firm carried out engagements in the areas of agreed-upon procedures for debt issuance programmes, register compliance assurance and compliance assurance with certain matters in the trust deed associated with an entity within the Banking Group which are compatible with those independence requirements. Certain partners and employees of our firm may deal with the Banking Group on normal terms within the ordinary course of trading activities of the Banking Group. These matters have not impaired our independence as auditor of the Banking Group.

Other than the audit, this review, and the other engagements as above, and partners and employees dealing with the Banking Group in the ordinary course of trading activities of the Banking Group, we have no relationship with, or interests in, the Banking Group.

Directors' responsibility for the Disclosure Statement

The Directors of the Bank (the "Directors") are responsible on behalf of the Bank for the preparation and fair presentation of the Disclosure Statement, which includes interim financial statements in accordance with IAS 34, NZ IAS 34 and Clause 25 of the Order, and for such internal control as the Directors determine is necessary to enable the preparation of the interim financial statements that are free from material misstatement, whether due to fraud or error.

In addition, the Directors are responsible on behalf of the Bank for the preparation and fair presentation of the supplementary information in the Disclosure Statement which complies with Schedules 3, 5, 7, 9, 13, 16 and 18 of the Order.

Auditor's responsibility for the review of the interim financial statements and supplementary information

Our responsibility is to express a conclusion on the interim financial statements and the supplementary information based on our review. NZ SRE 2410 (Revised) requires us to conclude whether anything has come to our attention that causes us to believe that:

- the interim financial statements (excluding the supplementary information), taken as a whole, have not been prepared, in all material respects, in accordance with IAS 34 and NZ IAS 34;
- the supplementary information (excluding the supplementary information relating to capital adequacy and regulatory liquidity requirements), taken as a whole, does not fairly state the matters to which it relates in accordance with Schedules 5, 7, 13, 16 and 18 of the Order; and
- the supplementary information relating to capital adequacy and regulatory liquidity requirements, taken as a whole, is not, in all material respects disclosed in accordance with Schedule 9 of the Order.



A review of interim financial statements and supplementary information in accordance with NZ SRE 2410 (Revised) is a limited assurance engagement. We perform procedures, primarily consisting of making enquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures.

The procedures performed in a review are substantially less than those performed in an audit conducted in accordance with International Standards on Auditing and International Standards on Auditing (New Zealand) and consequently does not enable us to obtain assurance that we might identify in an audit. Accordingly, we do not express an audit opinion on these interim financial statements and the supplementary information.

For and on behalf of:

A handwritten signature in black ink, appearing to read 'Jonathan Freeman'.

Jonathan Freeman
On behalf of the Auditor-General

The PricewaterhouseCoopers logo, featuring a stylized signature of the firm's name in black ink.

PricewaterhouseCoopers

23 February 2022
Wellington, New Zealand